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IT is hereby notified that the Minister of Finance, Economic Development and Investment Promotion, in terms of section 81 of the Banking Act [*Chapter 24:20*], has made the following regulations:—

PART I

PRELIMINARY

Title

1. These regulations may be cited as the Banking (Victoria Falls International Financial Services Centre) (General) Regulations, 2026.

Interpretation

2. In these regulations—

"ancillary services" means services with such modifications or limitations as may be specified, which may be carried on by an ancillary service provider;

"ancillary service provider" means a participant licensed to carry on one or more ancillary services;

"approved individual" means an individual who executes the most critical functions of a participant;

"authorised clearing house" means a Centre Participant which has been licensed by the Centre to carry on the market activity of operating a clearing house;

"authorised firm" means a participant licensed by the Victoria Falls International Financial Services Centre to carry on one or more regulated activities;

"market institution" means an authorised person who carries on one or more market activities;

"authorised person" means either an authorised firm or a market institution;

"Centre" means the Victoria Falls International Financial Centre;

"collective investment scheme" means any arrangements with respect to property of any description, including money, the purpose or effect of which is to enable persons taking part in the arrangements (whether by becoming owners of the property or any part of it or otherwise) to participate in or receive profits or income arising from the acquisition, holding, management or disposal of the property or sums paid out of such profits or income;

"controlled function" means a critical function of an authorised person that may only be carried out by an approved individual;

"designated individual" means an individual who is appointed by an authorised person or participant to carry out a designated function;

"designated function" means the less critical role of a participant that may be assigned to a designated individual;

"international financial services centre" means the Victoria Falls International Financial Services Centre;

"participant" shall bear the meaning ascribed to it in the Banking (International Financial Service Centre) Regulations, 2025, published in Statutory Instrument 29 of 2025;

"privileged communication" means a communication attracting a privilege arising from the provision of professional legal advice and any other privilege applicable at law, but does not include a general duty of confidentiality;

"recognised securities exchange" means the Victoria Falls Stock Exchange and such other stock exchange as the Victoria Falls International Financial Centre may prescribe;

"regulated activity" means an activity with such modifications or limitations as may be specified, which may be carried on by a participant;

"reporting entity" means a person—

(a) with securities or units admitted to an official list;

(b) being the fund manager of a listed fund; or

(c) declared by the Victoria Falls International Financial Centre to be a reporting entity;

"Resolution Authority" means—

(a) the Centre, when exercising its powers and functions under Part XII (Recovery and Resolution); and

(b) in relation to a foreign jurisdiction, any authority or body that is legally empowered under the

laws of that jurisdiction to exercise resolution or recovery powers in respect of a financial institution, including powers equivalent or broadly similar to those conferred on the Centre under Part XII.

Application

3. (1) These regulations apply in the jurisdiction of the international financial services centre.

(2) Without limiting subsection (1), these regulations shall apply to any person who conducts business in or from the international financial services centre.

PART II

Functions, Powers and Objectives of Centre

Functions and objectives of Centre

4. (1) The Centre has such functions as are conferred, or expressed to be conferred, on it—

(a) by or under the Banking (International Financial Services Centre) Regulations, 2025, published in Statutory Instrument 29 of 2025; and

(b) by or under any other law.

(2) The Centre has the power to do whatever it deems necessary for or in connection with, or reasonably incidental to, performing its functions and exercising its powers conferred in accordance with subsection (1).

(3) In performing its functions and exercising its powers, the Centre shall pursue the following objectives—

(a) the regulation, control, and supervision of financial activities in the international financial services centre by participants with a view to the maintenance of the safety and soundness of the financial system within the international financial services centre;

(b) ensuring that financial markets in the international financial services centre are fair, efficient, transparent, and orderly;

(c) creating fair, transparent, and non-discriminatory conditions for participants;

(d) fostering and maintaining confidence in the international financial services centre's financial system and regulatory regime;

(e) fostering and maintaining the financial stability of the international financial services centre's financial services industry and capital markets, including the reduction of systemic risks;

(f) preventing, detecting, and restraining actions, including financial crime, that may cause damage to the reputation of the international financial services centre or to the financial activities carried out in the international financial services centre by taking appropriate measures, including by imposing sanctions;

(g) protecting the interests of investors and users of financial services;

(h) implementing in the international financial services centre a regulatory regime that complies with international standards in the sphere of regulation of financial services and facilitates the growth of the financial services industry and capital markets in Zimbabwe;

(i) fostering the development of financial technologies in the international financial services centre; and

(j) pursuing such other objectives as may be specified by the Centre's regulations from time to time.

(k) exercising control and supervision over participants' compliance with the Money Laundering and Proceeds of Crime Act [*Chapter 09:24*] through inspections, enforcement actions, and sanctions.

(4) In pursuing the objectives in terms of this section, the Centre shall aim—

(a) in the context of recovery—

(i) to ensure the continuity of systemically important financial services; and

(ii) to avoid unnecessary destruction of value and losses to creditors; and

(b) in the context of resolution—

(i) to ensure the continuity of systemically important financial services;

(ii) to avoid unnecessary erosion of value and losses to creditors;

(iii) to minimise the overall costs of resolution, in home and host jurisdictions; and

(iv) to consider the potential impact of its resolution on financial stability in other jurisdictions.

(5) In pursuing the objectives referred to in subsection (3)(g), the Centre shall aim—

(a) in the context of the resolution of a participant—

(i) to protect clients, including depositors and policyholders; and

(ii) to protect client assets by providing prompt access to assets through—

A. continued functioning of the participant following resolution;

B. rapid return to the clients of identifiable and segregated client assets; or

C. transfer of the client assets to a performing third party; and

(b) in the context of the resolution of a market institution—

(i) to achieve continuity and timely completion of critical payment, clearing, settlement and recording functions;

(ii) facilitate the timely settlement of obligations of the market institution;

(iii) maintain continuous access of participants to—

A. securities or cash accounts provided by the market institution; and

B. securities or cash collateral posted to and held by the market institution that is owed to such participants;

(iv) to avoid any disruption in the operation of links between the market institution in resolution

and other market institutions that would have a material negative effect on financial stability or the functioning of markets; and

(v) safeguard, preserve and enable continuous processing of, and access to, data stored in a trade repository.

(6) In pursuing the objectives referred to in subsection (3), the Centre may enter into arrangements or instruments, including orders, agreements, or memoranda of understanding, on mutual recognition or cooperation, with other regulators.

(7) The Centre may prepare and make available forms for any purpose under these regulations or rules made thereunder and may give instructions for their completion.

Principles of good regulation

5. In performing its functions and exercising its powers under the laws applicable to the international financial services centre, the Centre must have regard to—

(a) the need to act in accordance with all laws and regulations to which it is subject;

(b) the principle that the Centre must exercise its powers and functions in a fair and transparent manner;

(c) the need to comply with such generally accepted principles of good governance as are reasonable to regard as applicable to it;

(d) the need to use its resources in the most economical and efficient way;

(e) the need to balance the burdens and restrictions on firms with the benefit of regulation;

(f) the desirability of facilitating innovation and fostering the international competitiveness of the Centre;

(g) the desirability of fostering competition between those who are subject to regulation by the Centre;

(h) the desirability of sustainable growth; and

(i) the principle that a participant's senior management is responsible for the participant's activities and

for ensuring its business complies with regulatory requirements.

Rulemaking powers of Centre

6. The Centre may make rules on a particular issue without prejudice to the regulatory power of the Centre under the Banking (International Financial Services Centre) Regulations, 2025.

Role of Centre to give guidance

7. (1) The Centre may, on the application of a person or on its own initiative, give guidance consisting of such information and advice as it considers appropriate—

(a) with respect to the operation of specified parts of these regulations, any regulations, and any rules which the Centre administers;

(b) with respect to any matter relating to functions of the Centre within its competence;

(c) for the purpose of meeting the regulatory objectives; and

(d) with respect to any matters about which it appears to the Centre to be desirable to give the relevant information or advice.

(2) Guidance issued by the Centre may be given to persons generally or to a class of authorised persons or ancillary service providers.

(3) Before the Centre gives guidance, the Centre must ensure that the proposed guidance is made available for public consultation for a period of at least thirty days.

(4) Before giving the proposed guidance, the Centre must consider the submissions made to it about the proposed guidance during the public consultation period and must make changes to the guidance that it considers desirable, having regard to the submissions.

(5) The Centre may give the proposed guidance without holding public consultation or shorten the public consultation period for the proposed guidance if satisfied that it is justified in the interests of the international financial services centre.

(6) Unless otherwise indicated by the Centre, guidance issued by the Centre is indicative of the view of the Centre at the time and in the circumstances in which it was given and is non-binding.

(7) If the Centre considers it necessary or desirable, it must publish guidance in a way the Centre thinks appropriate for bringing guidance to the attention of—

(a) persons likely to be affected by it; and

(b) others who may be likely to become subject to similar guidance.

Power to modify, waive, or grant relief

8. (1) The Centre may, on the application of a person or on its own initiative and by written notice, direct that one or more relevant provisions—

(a) apply to the person with the modifications mentioned in the notice; or

(b) do not apply in relation to the person.

(2) The Centre shall not give a direction under subsection (1) unless it is satisfied that—

(a) compliance by the person with the directive would not be unduly burdensome; and

(b) the direction would not adversely affect the advancement of any of the Centre's regulatory objectives.

(3) A direction under subsection (1) may be given subject to conditions.

(4) The Centre, on the application of the person or on its own initiative, may—

(a) revoke a direction; or

(b) vary it.

(5) Unless the Centre is satisfied that it is inappropriate or unnecessary to do so, it must publish a notice under subsection (1) in a way the Centre considers appropriate for bringing the notice to the attention of–

(a) persons likely to be affected by it; and

(b) others who may be likely to become subject to a similar notice.

(6) The application for a direction, revocation of a direction, or its variation must be accompanied by the fee prescribed in the rules by the Centre from time to time.

Centre's decision-making procedure

9. (1) Where a provision in these regulations made thereunder requires the Centre to make a decision, the Centre will follow the decision-making procedures set out in the Second Schedule.

(2) Shall it consider it necessary or desirable to do so, the Centre may establish a mechanism whereby a decision made in accordance with subsection (1) may be reviewed by officers of the Centre who were not involved in making such a decision or an objective independent third party competent to carry out such a function.

Appeals against decisions of Centre and Centre's statutory immunity

10. (1) A person aggrieved by a decision of the Centre may appeal to the Arbitration Centre against the decision.

(2) The grounds of an appeal under this section are that—

(a) the decision is *ultra vires* the law;

(b) the decision was made out of an error of law;

(c) the decision was made in bad faith;

(d) there was a lack of proportionality; or

(e) there was a material error as to the procedure.

(f) the decision is unreasonable.

(3) The procedure to be adopted by parties to an appeal and by the Arbitration Centre on such an appeal is set out in the Third Schedule.

(4) Neither the Centre nor any person who is, or is acting as, a director, officer or member of staff of the Centre may be held liable for anything done or omitted to be done in the performance or purported performance of its functions, or in the exercise or purported exercise of its powers, under these regulations or any other Centre regulations or rules, unless the act or omission is shown to have been done in bad faith

PART III

Prohibitions

General prohibition

11. No participant shall carry on a regulated activity, market activity or ancillary service unless it is licensed to do so by the Centre.

Prohibition relating to controlled functions

12. (1) No person shall carry out a controlled function for an authorised person unless he or she is approved by the Centre to carry out that controlled function for the authorised person.

(2) An authorised person must take all reasonable steps to ensure that no person performs a controlled function on its behalf—

(a) without being authorised by the Centre as an approved individual in relation to the relevant controlled function; or

(b) contrary to a restriction imposed by the Centre; or

(c) where the approved individual status of that individual has been suspended or withdrawn.

Prohibition relating to designated functions

13. An authorised person must take all reasonable steps to ensure that no person performs a designated function on its behalf—

(a) without being appointed by the authorised person as a designated individual in relation to the relevant designated function; or

(b) contrary to a restriction imposed by the Centre; or

(c) where the designated individual's status of that individual has been suspended or withdrawn.

Prohibition relating to financial promotions

14. (1) In this section—

"financial promotion" means any communication made via any medium, including brochures, telephone calls, presentations, the purpose or effect of which is—

(a) to promote or advertise—

(i) investments; or

(ii) any regulated activity; or

(b) to invite or induce any person—

(i) to enter into an agreement with any person in relation to investments; or

(ii) to engage in any regulated activity.

(2) A participant may not make a financial promotion except as provided by or under these regulations.

(3) The Centre may make rules relating to—

(a) the circumstances in which a participant may make, or will be deemed to make, a financial promotion; and

(b) the form and content of such financial promotion.

Enforceability of agreements

15. (1) In this section—

"agreement" means an agreement, the making or performance of which constitutes, purports to constitute or is part of, the carrying on of a regulated activity, market activity or ancillary service.

(2) Subject to subsection (6), a participant (first party) who enters into an agreement whilst acting in breach of the general prohibition referred to in this Part, or who makes an agreement as a result of the making by himself or herself or another person of a financial promotion which is in breach of these regulations, will not be entitled to enforce such agreement against the other party to the agreement.

(3) Subject to any agreement that may otherwise be reached between the parties, the other party may apply to the Arbitration Centre to recover—

(a) any money paid, or property transferred by the other party under the agreement;

(b) compensation reflecting any loss sustained by the other party as a direct result of such payment or transfer; and

(c) compensation for an amount becoming due that is dependent upon a contingency occurring under the relevant agreement, provided that such contingency

has occurred prior to the other party being notified by the first party or by the Centre that the agreement was entered into in breach of the general prohibition relating to financial promotions.

(4) If the other party chooses not to perform the agreement or, under subsection (3), recovers money paid or property transferred by him or her under the agreement, he or she shall, in turn, repay any money or property received under the agreement.

(5) The compensation recoverable under subsection (3)(b) shall be the amount agreed between the parties to the agreement or, following an application to the Arbitration Tribunal, the amount determined by the Arbitration Tribunal.

(6) If the Arbitration Centre is satisfied that the participant—

(a) who acted in breach of the general prohibition reasonably believed that he or she was not in breach of the general prohibition by entering into such agreement; or

(b) who made the financial promotion reasonably believed that he or she was not in breach of the financial promotions prohibition; or

(c) who made an agreement as a result of the making by another person of a financial promotion which was in breach of the financial promotions prohibition, did not know that the relevant financial promotion was in breach of the financial promotions prohibition;

and that it is fair and just in the circumstances to make such an order, it may make one or more of the following orders—

(i) an order that the agreement be enforced between the parties to such extent and under such terms and conditions as the Arbitration Centre sees fit; or

(ii) an order that money paid or property transferred under the agreement be retained or dealt with in accordance with the agreement or in such manner as the Arbitration Centre deems fit.

(7) For the purposes of this section, it is not relevant that the other participant was unaware of the existence of either the general prohibition or the prohibition relating to financial promotions.

(8) Where property transferred under the agreement has been transferred to a third party, a reference in this section to such property will be interpreted as a reference to the value of the property at the time of the transfer under the agreement.

False claims to be participant

16. (1) A person who is not a participant must not represent that he or she is a participant.

(2) A participant who is not an authorised firm, a market institution or an ancillary service provider must not represent that it is such a person.

PART IV

Licensing of Participants

Licensing of authorised firms

17. (1) No person shall carry on a regulated activity specified in the First Schedule within the international financial services centre unless they obtain a licence to participate therein.

(2) Any person may apply to the Centre for a licence authorising him or her to participate as an authorised firm.

(3) An authorised firm may apply to the Centre to extend, vary or withdraw its licence to carry on regulated activities.

(4) A person may apply to the Centre to waive the requirements as to the contents of the prescribed form where the application is for a licence relating to authorisation in the area of financial technology.

(5) The Centre may, on the application of a person or on its own initiative and by written notice, waive or modify the requirements of these regulations or rules made thereunder where it considers it necessary or desirable to do so in the field of financial technology

(6) An applicant for a licence, variation of a licence or withdrawal of a licence may withdraw his or her application by giving the Centre notice at any time before the Centre issues, varies or withdraws the licence or rejects the application.

(7) The Centre may make rules providing—

(a) that certain participants or types of participants may not be granted a licence to carry on specific regulated activities;

(b) for variation of certain requirements relating to the form of an application in cases where an application is made by or on behalf of a participant which is, at the time of application, regulated in a jurisdiction other than the international financial services centre.

(8) The Centre may waive all or any part of its generally adopted requirements as to form and contents either in individual cases or generally:

Provided that it is satisfied in either case that—

(i) materially similar, up-to-date information is provided in other documentation already issued or completed by the applicant; or

(ii) such information is not necessary in the light of any registration or authorisation of the applicant in another jurisdiction; or

(iii) such information is not considered by the Centre to be relevant in the context of any application.

(9) The Centre may require the applicant to provide additional information reasonably required for the Centre to be able to decide the application.

(10) If at any time between the filing of an application and the grant of a licence or the grant of an extension to a licence, the applicant becomes aware of a material change reasonably likely to be relevant to the application under consideration, it must inform the Centre in writing of such change without delay.

Financial technology

18. The Centre may, on the application of a person or on its own initiative and by written notice, waive or modify the requirements of these regulations or rules made thereunder where it considers it necessary or desirable to do so in the field of financial technology.

Exemption

19. The Centre may issue an order or make rules—

(a) prescribing certain participants or categories of participants to be exempted from—

(i) the general prohibition in respect of regulated activities; or

(ii) the requirements referred to in section 20(1); and

(b) providing for any exemptions to be—

(i) limited to certain regulated activities or specified circumstances; or

(ii) subject to certain conditions and restrictions.

Criteria for grant of licence to carry on regulated activities

20. (1) The Centre may only grant a licence authorising a participant to carry on one or more regulated activities if it is satisfied that the participant—

(a) has adequate and appropriate resources, including financial resources;

(b) is fit and proper;

(c) is capable of being effectively supervised; and

(d) has adequate compliance arrangements, including policies and procedures, that will enable it to comply with all the applicable legal requirements.

(2) The Centre may make rules prescribing the matters to which the Centre will have regard in making the assessment specified in subsection (1).

Grant or rejection of application to carry on regulated services

21. (1) The Centre may—

(a) grant an application for a licence, variation or withdrawal of a licence either without conditions, restrictions or requirements or with such conditions, restrictions or requirements as it considers appropriate; or

(b) reject the application.

(2) Where the Centre grants an application for a licence or variation or withdrawal of a licence, the Centre must inform the applicant of—

(a) such decision;

(b) the date on which the licence or extension will be deemed to take effect;

(c) the regulated activity or regulated activities that the applicant is authorised to carry on; and

(d) any conditions and restrictions applicable to the licence.

(3) Where the Centre rejects an application for a licence or variation or withdrawal of a licence, the Centre must promptly inform the applicant in writing of such rejection and the reasons for such rejection, and the applicant's right to appeal that decision to the Arbitration Tribunal.

(4) If an applicant decides to appeal the Centre's decision to the Arbitration Tribunal, the time for instituting an appeal commences from the date when the rejection was given to an applicant.

Licensing for market activities

22. (1) The applicant for a licence, variation of a licence, or withdrawal of a licence may withdraw its application by giving the Centre notice at any time before the Centre issues, varies, or withdraws the licence or rejects the application.

(2) An application under this section shall be made in such manner as the Centre may specify in the rules.

Criteria for grant of licence to carry on market activities

23. (1) The Centre may only grant a licence authorising a participant to carry on one or more market activities if it is satisfied that the participant—

(a) has adequate and appropriate resources, including financial resources and technology resources;

(b) is fit and proper;

(c) is capable of being effectively supervised; and

(d) has adequate compliance arrangements, including policies and procedures, that will enable it to comply with all the applicable legal requirements, including the rules.

(2) The Centre may make rules prescribing the matters to which the Centre will have regard in making the above assessment.

Grant or rejection of application

24. (1) The Centre may—

(a) grant an application under section 21(1)(a), either without conditions, restrictions, or requirements, or with such conditions, restrictions, or requirements as it considers appropriate; or

(b) reject the application.

(2) Where the Centre grants an application under section 21(1)(a), the Centre will notify the applicant of—

(a) such decision;

(b) the date on which the licence will be deemed to take effect;

(c) the market activity or market activities that the applicant is authorised to carry on; and

(d) any conditions and restrictions applicable to the licence.

(3) Where the Centre rejects an application under section 21(1)(b), the Centre must promptly inform the applicant in writing of such rejection and the reasons for such rejection, of the applicant's right to appeal against the decision to the Arbitration Tribunal.

(4) The Centre may vary the terms of a licence granted by it under this section, either on the application of the market institution or on its own initiative.

(5) If an applicant decides to appeal the Centre's decision to the Arbitration Tribunal, the time for instituting an appeal commences from the date when the rejection was given to the applicant.

Exemption for market institutions

25. (1) A recognised securities exchange is exempt from the general prohibition in respect of any regulated activity which is carried on—

(a) as a part of the authorised securities exchange's business as an investment exchange; or

(b) for the purposes of, or in connection with, the provision by the authorised securities exchange of services designed to facilitate the provision of clearing services by another person.

(2) An authorised clearing house is exempt from the general prohibition in respect of any regulated activity which is carried on for the purposes of, or in connection with, the provision —

(a) of clearing services by the authorised clearing house; or

(b) by the authorised clearing house of services designed to facilitate the provision of clearing services by another person.

Application for license to carry on ancillary services

26. (1) Any person desirous of carrying on one or more ancillary services may apply to the Centre for consideration.

(2) An ancillary service provider may apply to the Centre to extend, vary, or withdraw its licence to carry on ancillary services.

(3) The applicant for a licence or its variation or withdrawal may withdraw its application by giving the Centre notice at any time before the Centre issues, varies, or withdraws the licence or rejects the application.

(4) An application under this section must be made in such manner as the Centre may by rules require.

Grant or rejection of application in relation to ancillary services

27. (1) The Centre may—

(a) grant an application under section 26, either without conditions, restrictions, or requirements or with such conditions, restrictions, or requirements as it considers appropriate; or

(b) reject the application.

(2) Where the Centre grants an application under section 26, the Centre shall inform the applicant in writing of—

(a) such decision;

(b) the date on which the licence will be deemed to take effect;

(c) the ancillary service or ancillary services that the applicant is authorised to carry on; and

(d) any conditions and restrictions applicable to the licence.

(3) Where the Centre rejects an application under section 26, the Centre must promptly inform the applicant in writing of such rejection and the reasons for such rejection, and the applicant's right to appeal against that decision to the Arbitration Tribunal.

(4) The Centre may vary the terms of a licence granted by it, either on the application of the ancillary service provider or on its own initiative.

(5) If an applicant decides to appeal the Centre's decision to the Arbitration Tribunal, the time for instituting an appeal commences from the date when the rejection was given to the applicant.

Criteria for grant of licence to carry on ancillary services

28. (1) The Centre may only grant a licence permitting a participant to carry on one or more ancillary services if it is satisfied that the participant is fit and proper.

(2) The Centre may prescribe by rules—

(a) the participants or class of participants who may be permitted to carry on ancillary services;

(b) the requirements for the grant of such a licence; and

(c) the circumstances under which the Centre may withdraw such a licence.

PART V

CONTROLLED AND DESIGNATED FUNCTIONS

Controlled functions

29. (1) The Centre may make rules detailing—

(a) the procedure for application to the Centre for registration as an approved individual, including requirements as to the form and content of the application, any fees payable

by an authorised person in respect of its approved individuals, and the procedures for modification or withdrawal of an approved individual's registration;

(b) principles or other requirements to which approved individuals are required to adhere in the performance of controlled functions;

(c) requirements for approved individuals to report to the Centre; and

(d) the circumstances under which registration of an approved individual may be withdrawn at the instance of the Centre.

(2) The Centre may waive all or any part of its generally adopted requirements as to the form and content of an application under subsection (1) if it is satisfied that such information is not necessary in the light of any registration, authorisation, or approval the relevant individual may have in a jurisdiction outside the international financial services centre.

Criteria for approval

30. (1) The Centre may only authorise an individual to carry on a controlled function if it is satisfied that the individual is fit and proper to be approved.

(2) In making this assessment, the Centre must have regard to—

(a) the individual's integrity;

(b) the individual's competence and capability;

(c) the individual's financial soundness;

(d) the individual's proposed role within the participant; and

(e) any other matters that the Centre considers to be relevant to the application.

(3) The Centre will not regard an individual as fit and proper if the individual—

(a) is bankrupt; or

(b) has been convicted of a serious criminal offence in the preceding ten years; or

(c) is the subject of an administrative or civil finding; or

(d) is incapable, through mental or physical incapacity, of managing his or her affairs.

Grant or rejection of application in relation to controlled functions

31. (1) The Centre may—

(a) grant or vary an approval under section 29 either without conditions, restrictions or requirements or with such conditions, restrictions or requirements as it considers appropriate; or

(b) reject the application.

(2) If the Centre grants an application for approval or variation of an approval under section 29, the Centre shall notify the authorised person accordingly.

(3) If the Centre rejects an application for approval or variation of an approval under sub-section (1), the Centre must promptly inform the authorised person in writing of such rejection and the reasons for such rejection, and the authorised person's right to appeal against that decision to the Arbitration Tribunal.

(4) If an applicant decides to appeal the Centre's decision to the Arbitration Tribunal, the time for instituting an appeal commences from the date when the rejection was given to the applicant.

Residency requirement for approved individual

32. If the Centre considers it appropriate, it may require an authorised person to ensure that a particular controlled function is carried on by an approved individual who is resident in the Republic of Zimbabwe.

Suspending or withdrawing approved individual status

33. (1) If the Centre reasonably concludes that—

(a) an approved individual is in breach of, or has been in breach of, an obligation that applies as a result of such individual's approved individual status; or

(b) an individual is no longer fit and proper to perform the role of an approved individual within the authorised person;

it may either restrict the individual from carrying on a controlled function or suspend or withdraw the individual's approved status.

(2) The Centre may withdraw an individual's approved status if—

(a) the individual becomes bankrupt;

(b) the individual is convicted of a serious criminal offence;

(c) the individual becomes incapable, through mental or physical incapacity, of managing the relevant affairs;

(d) the individual or the relevant authorised person requests the Centre to withdraw the relevant status; or

(e) the licence of the relevant authorised person is withdrawn.

(3) Where the Centre—

(a) conducts an investigation in terms of these regulations; and

(b) in the course of such investigation, believes on reasonable grounds that an individual has engaged in serious misconduct that may form grounds for the withdrawal of the individual's approved individual status;

it may suspend the individual's approved individual status for the duration of the investigation or related proceedings insofar as such investigation or proceedings relate to the individual.

(4) It shall be an offence for any person to carry on a controlled function—

(a) in breach of a provision of these regulations or rules made thereunder or other legislation administered by the Centre that applies to that individual;

(b) contrary to a restriction imposed under subsection (1); or

(c) after the individual's approved status has been suspended or withdrawn under subsections (1), (2), or (3).

(5) The Centre may vary or withdraw a restriction or suspension imposed under this section if it is reasonable to do so.

(6) The Centre may act under subsection (5) on its own initiative or at the request of the individual or authorised person.

(7) The decision-making procedures in the Second Schedule apply to a decision made by the Centre under this section.

Designated functions

34. (1) In this section—

"administrative finding" means a decision upon a question of fact reached by an administrative agency following an administrative hearing or other procedure satisfying the requirements of due process;

"civil finding" means a finding pursuant to a legal process aimed at recovering monetary losses or damages that the government or an instrumentality is entitled to collect under various laws.

(2) Before appointing an individual to carry on a designated function, an authorised person must take reasonable steps to satisfy itself that the individual is fit and proper to be a designated individual and to carry on the relevant designated function.

(3) In making this assessment, the authorised person must have regard to—

(a) the individual's integrity;

(b) the individual's competence and capability;

(c) the individual's financial soundness;

(d) the individual's proposed role within the authorised person; and

(e) any other matters that the Centre may prescribe by Rules.

(4) An authorised person may not regard an individual as fit and proper if the individual—

(a) is bankrupt; or

(b) has been convicted of a serious criminal offence in the preceding ten years; or

(c) is the subject of an administrative or civil finding; or

(d) is incapable, through mental or physical incapacity, of managing his affairs.

Review of appointments by Centre

35. (1) An authorised person must maintain records of the

assessment process that it conducts in respect of each designated individual appointed by it.

(2) An authorised person must make such records available to the Centre on request.

(3) If the Centre considers that a designated individual is not fit and proper, it may take such steps as it considers necessary or desirable in the interests of the international financial services centre.

Control of authorised persons

36. No person shall take any steps to—

(a) become a controller of an authorised person incorporated in the international financial services centre; or

(b) increase the level of control that a person has in an authorised person incorporated in the international financial services centre beyond a threshold specified in rules by the Centre;

unless that person has obtained the prior written approval of the Centre.

Rules governing controllers

37. The Centre may make rules in connection with the change of control of authorised persons incorporated in the international financial services centre, including rules as to—

(a) when a person becomes or ceases to be a controller of an authorised person;

(b) when the acquisition or increase in the level of control of an authorised person requires either the prior approval of, or notification to, the Centre;

(c) when the Centre is likely to object to an existing controller;

(d) the procedures relating to the approval, notification, and objections referred to in paragraphs (b) and (c); and

(e) any other matter necessary or incidental to give effect to the provisions governing Controllers.

Powers of Centre in respect of controllers

38. (1) Without limiting the generality of its powers, the Centre may—

(a) approve or object to a person becoming a controller of an authorised person incorporated in the international financial services centre;

(b) approve or object to an increase in the level of control of an existing controller of an authorised person incorporated in the international financial services centre;

(c) object to an existing controller of an authorised person incorporated in the international financial services centre, where it has reasonable grounds to believe that such a person is no longer an acceptable controller; and

(d) approve a person as a controller or approve an increase of control by an existing controller, subject to such conditions as it considers appropriate.

(2) Where the Centre considers an existing controller of an authorised person incorporated in the international financial services centre to be an unacceptable controller, it may—

(a) notify the controller and the authorised person in writing that the controller is no longer an acceptable controller; and

(b) require that the Controller and the authorised person take such action as may be specified by the Centre.

(3) Without limiting the generality of its powers, the Centre may, for the purposes of subsection (2)(b)—

(a) require an authorised person incorporated in the international financial services centre to take such action as specified by the Centre in relation to an unacceptable controller; or

(b) where an authorised person has failed to comply with a requirement referred to in subsection (3)(a) to the satisfaction of the Centre, either withdraw or impose conditions on the authorised person's licence; or

(c) require the unacceptable controller to take such action as may be specified by the Centre.

PART VI

Capital Markets

Market institutions Business Rules

39. (1) A market institution must establish rules (Business Rules) governing relations between itself and the participants in the market and dealing with such matters as may be prescribed for this purpose in rules by the Centre.

(2) A market institution may only bring its Business Rules and any amendment thereto into effect after such rules have been approved by the Centre.

(3) The Centre may require a market institution to make its Business Rules and any amendment thereto available for public consultation prior to their becoming effective.

(4) The Business Rules, other than the Banking (Victoria Falls International Financial Services Centre) (Victoria Falls Stock Exchange Membership, Listing and Trading) Rules, 2026, of a market institution shall have effect as a contract between—

(a) the market institution and each participant in the market; and

(b) a participant and another participant;

under which each of those persons agrees to observe the Business Rules to the extent that they apply to the person and to engage in conduct that the person is required by the Business Rules to engage in.

(5) If a person who is under an obligation to comply with or enforce any of a market institution's Business Rules fails to meet that obligation, an application to the Arbitration Centre may be made by—

(a) the Centre; or

(b) the market institution; or

(c) the operator of a clearing and settlement facility with which the market institution has clearing and settlement arrangements; or

(d) a person aggrieved by the failure.

(6) After giving an opportunity to be heard to the applicant and the person against whom the order is sought, the Arbitration

Centre may make orders giving directions about compliance with, or enforcement of, the Business Rules, to—

(a) the person against whom the order is sought; or

(b) if that person is a body corporate, the directors of the body corporate; or

(c) if that person is a listed fund, the fund manager of the listed fund.

(7) For the purposes of this section—

(a) if a body corporate fails to comply with or enforce provisions of the Business Rules of a market institution, a person who holds securities of that body corporate that are able to be traded on a market operated by the market institution is taken to be a person aggrieved by the failure; or

(b) if a fund manager of a listed fund fails to comply with or enforce provisions of the Business Rules of a market institution in respect of that listed fund, a person who holds units in that listed fund is taken to be a person aggrieved by the failure.

(8) There may be other circumstances in which a person may be aggrieved by a failure for the purposes of this section.

(9) Subject to such further admission criteria as the Centre may prescribe by rules, a market institution may only admit as a member—

(a) an authorised firm;

(b) a recognised participant—

(c) a person that is a body corporate which intends to undertake commodity derivative or environmental instrument transactions on the relevant market institution by carrying on such activities for its own account or for another body corporate which is in the same group as the person:

Provided that any such member of the group for which the person intends to act is a wholly owned subsidiary of a holding company within the group, or is the holding company itself; or

(d) any person, whether or not referred to in paragraph (c), by providing that person with access to the facility, on which investment tokens are traded or cleared or both traded and cleared, in respect of only trading or clearing of investment tokens.

(10) An authorised person engaged in the activity of operating a digital asset business may only admit as a member a person who satisfies admission criteria set out in its membership rules, and which are either—

(a) an authorised firm;

(b) a recognised participant; or

(c) a body corporate or an individual that carries on the activity solely as principal.

(11) Without prejudice to its powers under section 72, the Centre may require, at such frequency and in such manner and in such form as it may prescribe in rules, any market institution to provide the Centre with a report or reports relating to the conduct of or the performance of the regulatory functions of an market institution, including but not limited to a report or reports addressing—

(a) ongoing compliance of the market institution with the terms of its licence; or

(b) complaints received and dealt with, and disciplinary matters arising and dealt with; or

(c) adequacy and performance of systems and controls; or

(d) financial matters concerning the operation of the market institution.

(12) Without limiting the powers available to the Centre under Part VIII (Supervision), the Centre may direct a market institution to do or not do specified things that the Centre considers are necessary or desirable, or to ensure the integrity of the international financial services centre financial markets, including but not limited to directions—

(a) requiring compliance with any duty, requirement, prohibition, obligation or responsibility applicable to a market institution; or

(b) requiring a market institution to act in a specified manner in relation to a transaction conducted on or through the

facilities operated by a market institution, or in relation to a specified class of transactions; or

(c) requiring a market institution to act in a specified manner or to exercise its powers under any rules that the market institution has made.

(13) Without limiting the application of section 71, the Centre may direct a market institution to—

(a) close the market or facilities operated by a market institution in a particular manner or for a specified period; or

(b) suspend transactions on the market or through the facilities operated by the market institution; or

(c) suspend transactions in investments conducted on the market or through the facilities operated by the market institution; or

(d) prohibit trading in loans or investments conducted on the market or through the facilities operated by the market institution; or

(e) defer for a specified period the completion date of transactions conducted on the market or through the facilities operated by the market institution; or

(f) prohibit a specified person from undertaking any transactions on the facilities operated by the market institution; or

(g) do any act or thing, or not do any act or thing, in order to ensure an orderly market, or reduce risk to the Centre's objectives.

(14) Neither a market institution nor any employee of a market institution may be held liable for anything done or omitted to be done in the performance or discharge or purported performance or discharge of their respective duties and regulatory functions if the act or omission is shown to have been committed or omitted in good faith.

Offer of securities

40. (1) In this section—

"offer of securities" means a communication to any person in any form or by any means, presenting information on the terms of the offer and the securities offered, to enable an investor to decide whether or not to buy or subscribe to those securities, but excluding—

(a) any communication in connection with the trading of securities admitted to trading on an authorised stock exchange; or

(b) any communication made for the purposes of complying with the ongoing reporting requirements of the Centre or a market institution; or

(c) any other communication prescribed in the rules by the Centre.

(2) No person shall make an offer of securities except as provided in rules made by the Centre.

(3) For the avoidance of doubt, this section does not apply to the offer of units in a listed fund. While a unit of a listed fund is, in general terms, a type of security, it is not a security for the purposes of the Centre's financial services regulations. Rules in relation to the offer of units in a listed fund are set out, inter alia, in the Centre's Banking (Victoria Falls International Financial Services Centre) (Securities, Capital Markets and Collective Investment Funds) Regulations, 2026. Fund managers should also refer to the applicable Business Rules.

Admission to trading

41. (1) No person shall have securities or units in a listed fund admitted to trading on a recognised securities exchange unless—

(a) such investments have been admitted to the official list maintained by the authorised stock exchange; and

(b) in relation to securities, a prospectus in relation to the relevant securities containing the information prescribed for this purpose by the Centre has been approved by the authorised stock exchange; and

(c) in relation to units in listed funds other than overseas listed funds—

(i) the fund is a non-exempt fund under the Centre's collective investment scheme rules; and

(ii) there are offering materials in relation to the relevant units, and the authorised investment exchange has satisfied itself that such offering materials satisfy the requirements of the Centre's collective investment scheme rules.

(2) For the avoidance of doubt, a prospectus is not required in relation to units in a listed fund. The requirements in relation to offering materials, which apply to units in a listed fund, other than overseas listed funds, are set out in the Banking (Victoria Falls International Financial Services Centre) (Securities, Capital Markets and Collective Investment Funds) Regulations, 2026. The requirements in relation to offering materials for overseas listed funds will be regulated according to the Business Rules.

(3) The Centre may, at its discretion and on its own initiative, identify by rules—

(a) exempt offerors; and

(b) exempt securities;

to which the prohibition in subsection (1) does not apply or applies in a modified manner.

Maintaining an official list

42. (1) Subject to subsection (3), an official list for a recognised securities exchange may be maintained by either the relevant recognised securities exchange or the Centre.

(2) A recognised securities exchange must, when maintaining an official list, comply with the relevant requirements in these regulations and the rules made thereunder.

(3) The Centre may, at any time, transfer the responsibility for maintaining an official list hitherto maintained by a recognised securities exchange to the Centre where it considers it necessary or desirable to do so.

(4) A recognised securities exchange must not permit trading of securities or units in a listed fund on its facilities unless such investments are admitted to, and not suspended from, an official list maintained by the authorised stock exchange, or the Centre, except where otherwise prescribed in the rules.

Listing rules requirements

43. (1) A recognised securities exchange must, when maintaining an official list, establish and maintain listing rules as part of its business rules.

(2) The listing rules of a recognised securities exchange must contain such provisions as are prescribed in the rules.

(3) Where the Centre maintains an official list, it shall, by rules, prescribe the relevant listing rules.

Admission of securities or units in listed fund to official list

44. (1) A recognised securities exchange or the Centre may grant admission of securities or units in a listed fund to an official list maintained by it only where it is satisfied that such admission is in accordance with the relevant listing rules.

(2) Where a person applies to have securities or units in a listed fund admitted to an official list maintained by a recognised securities exchange or the Centre, the recognised securities exchange or the Centre, as is relevant, must notify the applicant in writing of its decision in relation to the application for admission of such investments to the official list.

(3) Where a person has any securities or units in listed funds included on an official list, such securities must be admitted to trading on a recognised securities exchange as soon as possible.

(4) Where any securities or units in listed funds included in an official list are not admitted to trading in accordance with section 64 (3), such securities must be removed from the official list.

(5) The Centre may, by rules, prescribe any circumstances in which securities or units in a listed fund admitted to an official list need not comply with the requirement in subsection (3).

Objection to admission of securities or units in listed fund to official list

45. (1) Where a recognised securities exchange maintains an official list, the Centre may—

(a) object to the admission of securities or units in a listed fund to such an official list; or

(b) impose conditions or restrictions in respect of the admission of securities or units in a listed fund to such an official list, or vary or withdraw such conditions or restrictions, in the circumstances specified in subsection (3).

(2) Where the Centre maintains an official list, the Centre may—

(a) refuse an application for admission of securities or units in a listed fund to such an official list; or

(b) impose conditions or restrictions, in respect of the admission of securities or units in a listed fund to such an official list, or vary or withdraw such conditions or restrictions, in the circumstances specified in subsection (3).

(3) The Centre may exercise its powers under subsection (1) or (2) where—

(a) the Centre reasonably considers that—

(i) granting the securities or units in a listed fund admission to an official list would be detrimental to the interests of persons dealing in the relevant securities or units in a listed fund using the facilities of a recognised securities exchange or otherwise; or

(ii) any requirements in the listing rules as are applicable have not been or will not be complied with; or

(iii) any requirement imposed by the Centre has not been or will not be complied with; or

(iv) the issuer of the securities or units in a listed fund has failed or will fail to comply with any obligations applying to it, including those relating to having its securities or units in a listed fund admitted to an official list or listed or traded in another jurisdiction; or

(b) the Centre otherwise considers it necessary or desirable to do so.

(4) Where the Centre objects to the admission of securities or units in a listed fund to an official list pursuant to subsection (3)

(a), such securities must not be admitted by a recognised securities exchange to its official list.

(5) Where the Centre imposes conditions or restrictions on the admission of securities or units in a listed fund to an official list pursuant to subsection (3)(b), such investments must not be admitted by a recognised securities exchange to its official list unless there is compliance with those conditions and restrictions.

Suspending and delisting securities or units in listed fund from official list

46. (1) The Centre or a recognised securities exchange may, in accordance with its listing rules, suspend or delist securities or units in a listed fund from its official list with immediate effect or from such date and time as may be specified where it is satisfied that there are circumstances that warrant such action or it is in the interests of the Centre.

(2) The Centre may direct a recognised securities exchange to suspend or delist securities or units in a listed fund from an official list with immediate effect or from such date and time as may be specified if it is satisfied there are circumstances that warrant such action, or it is in the interests of the Centre.

(3) The Centre may revoke a direction given under subsection (2) at any time.

(4) Securities or units in a listed fund that are suspended from an official list shall remain admitted to an official list for the purposes of these regulations.

(5) The Centre may, by rules, prescribe any additional requirements or procedures relating to the—

(a) delisting or suspension of securities or units in a listed fund from an official list; or

(b) restoration of securities or units in a listed fund to an official list.

Prospectus requirement

47. A prospectus must contain—

(a) information which is material to an investor for making an informed assessment of—

(i) the assets and liabilities, profits and losses, financial position, and prospects of the issuer and of any guarantor;

(ii) the rights attaching to the securities; and

(iii) the reasons for the issuance and its impact on the issuer; and

(b) such further information and documents as may be prescribed by the Centre pursuant to section 48.

Power to prescribe prospectus content

48. (1) The Centre may, by rules, prescribe the information that must be included in a prospectus.

(2) The Centre may, in prescribing the information to be included in a prospectus, require specific content for a prospectus of a particular type of security.

(3) The issuer or other person responsible for the issue of a prospectus must include in the prospectus all the information required under subsections (1) and (2.

(4) The Centre may, by rules, prescribe—

(a) the circumstances in which a prospectus may incorporate any material by reference; and

(b) the persons liable for the content of a prospectus.

Power to approve omission of information

49. The Centre may approve the omission from the prospectus, or constituent parts thereof, of certain information to be included therein, if it considers that any of the following conditions is met—

(a) disclosure of such information would be contrary to the public interest:

(b) disclosure of such information would be seriously detrimental to the issuer or to the guarantor;

Provided that the omission of such information would not be likely to mislead the public with regard to facts and circumstances essential for an informed assessment of the issuer or guarantor, and of the rights attached to the securities to which the prospectus relates;

(c) such information is of minor importance in relation to admission to trading on a recognised securities exchange and would not influence the assessment of the financial position and prospects of the issuer or guarantor.

Power to publish or require publication of information

50. Where a person issuing a prospectus fails to publish any information which that person is required to publish by or under these regulations, the Centre may—

(a) direct such a person to publish such information within a time frame specified by the Centre; or

(b) on its own initiative, publish such information.

Obligation to issue supplementary prospectus

51. If at any time after the issue of a prospectus there is a significant change in, or a material mistake or inaccuracy affecting any matter contained in the prospectus, or a significant new matter arises, the person responsible for the issue of the prospectus must issue a supplementary prospectus which provides details of the change, mistake, inaccuracy, or new matter.

Right to withdraw

52. (1) Where the obligation to issue a supplementary prospectus arises, investors who have already agreed to purchase or subscribe for the securities before the supplementary prospectus is published have the right to withdraw their acceptances. subject to subsection (2), such right is exercisable within five working days after the issue of the supplementary prospectus or such longer period as either the person issuing the prospectus may decide or the recognised securities exchange or the Centre may direct.

(2) Investors may exercise the right to withdraw their acceptances if the significant new factor, material mistake, or material inaccuracy in subsection (1) arose or was noted before the closing of the offer period or the delivery of the securities, whichever occurs first.

Misleading and deceptive statements or omissions

53. (1) A person must not issue a prospectus if there is—

(a) a misleading or deceptive statement in the prospectus; or

(b) any material omission from the prospectus; or

(c) a significant new matter or a significant change in circumstances is known to the person issuing the prospectus before the prospectus is issued.

(2) A person does not contravene the prohibition in subsection (1) if that person can prove the circumstances or matters specified in sections 54 or 55.

Defences of reasonable inquiries and reliance on information given by another person

54. (1) No person shall be deemed to have contravened section 53(1) if that person proves that he or she—

(a) made all inquiries that were reasonable in the circumstances; and

(b) after making such inquiries, believed on reasonable grounds that the prospectus was not misleading or deceptive.

(c) placed reasonable reliance on information given by, if the person is not a natural person —

(i) someone other than a member of the governing body, or employee or representative of the person; or

(ii) someone other than an employee or representative of the natural person.

(2) For the purposes of this section, a person is not the representative of another person merely because the person performs a particular professional or advisory function for that other person.

Statements about future matters

55. (1) A person is taken to make a misleading or deceptive statement about a future matter by himself or through his representative, if he, at the time of making the statement or causing the statement to be made, did not have reasonable grounds for making the statement or causing the statement to be made.

(2) The onus for proving that reasonable grounds existed for the purposes of subsection (1) is on the person who made the statement or caused the statement to be made.

(3) A person referred to in subsection (2) may rely on the circumstances referred to in section 54 to prove that he or she had reasonable grounds for making the statement relating to the future matter.

Civil compensation

56. (1) Any person prescribed in rules made by the Centre as being liable for a prospectus is liable to pay compensation to another person who has acquired securities to which the prospectus relates and who has suffered loss or damage arising from any untrue or misleading statement in the prospectus or the omission from it of any material matter required to have been included in the prospectus under these regulations or rules made thereunder.

(2) The Centre may make rules prescribing circumstances in which a person who would otherwise be liable under section 56(1) will not be so liable.

(3) Nothing in this section affects the powers, rights, and liabilities that any person may have apart from this section, including the power to institute proceedings under section 106 (Action for Damages).

Stop orders

57. If the Centre is satisfied that an offer of securities to the public would contravene or has contravened these regulations or the rules made for the purposes of these regulations or it is necessary or desirable in the interest of the Centre, the Centre may issue a stop order directing that no offer, issue, sale or transfer of the Securities be made for such a period of time as it thinks appropriate.

Obligations of reporting entities

58. (1) A reporting entity must have a corporate governance framework that is adequate to promote prudent and sound management of the reporting entity in the long-term interest of the reporting entity and its shareholders.

(2) For the purposes of the requirement in section 59(1), the Centre may, by rules, prescribe—

(a) corporate governance principles and standards that apply to a reporting entity, including any requirements applicable to its board of directors and individual members, controllers, employees, or any other person as appropriate;

(b) requirements relating to fair treatment of shareholders; and

(c) provisions to address conflicts of interest.

(3) The requirements in this section do not apply to listed funds or fund managers of listed funds.

(4) The Centre may, by rules, prescribe any circumstances in which such requirements do not apply to certain other reporting entities.

Market disclosure

59. (1) A reporting entity must, subject to subsection (5), make disclosures to the market of information specified by the Centre in the circumstances prescribed by the rules.

(2) Without limiting the generality of subsection (1), the Centre may, by rules, prescribe the type of information and the circumstances in which such information must be disclosed, including—

(a) financial information;

(b) inside information as defined in section 63(a); and

(c) any other information or material change which occurs in relation to a reporting entity.

(3) Where information is required to be disclosed pursuant to subsection (1), the reporting entity shall, in the prescribed manner—

(a) issue a release of information to the market disclosing the information; and

(b) file a report with the Centre.

(4) Where a reporting entity has failed to publish information required to be published pursuant to subsection (1) and the rules made for the purposes of this section, the Centre may publish such information in a manner considered appropriate by the Centre.

(5) The Centre may, by rules, prescribe the circumstances

in which a reporting entity need not comply with the disclosure requirement in subsection (1).

Financial reports

60. The Centre may prescribe, by rules—

(a) financial reports to be filed by a reporting entity; and

(b) audit requirements to be observed by a reporting entity.

Sponsors and compliance advisers

61. (1) The Centre may, where it considers it appropriate to do so, require that a reporting entity or a person that intends to have securities or units in a listed fund admitted to an official list or admitted to trading on a recognised securities exchange appoints an authorised firm or accredited firm to act as a sponsor or compliance adviser.

(2) The Centre may, by rules, prescribe—

(a) the circumstances in which a reporting entity is required to appoint a sponsor or compliance adviser;

(b) the requirements applicable to the Reporting Entity and to an authorised firm or accredited firm appointed as a sponsor or compliance adviser; and

(c) any other matter necessary to give effect to such appointments.

Prevention of market abuse

62. A person must not, in the international financial services centre or elsewhere, directly or indirectly—

(a) acquire or dispose of, or attempt to acquire or dispose of, for his own account or for the account of a third party, either directly or indirectly, an investment, on the basis of inside information relating to the investment; or

(b) disclose inside information to another person other than in the proper course of the exercise of his employment, profession, or duties; or

(c) recommend or induce any person, on the basis of inside information, to acquire or dispose of an investment to which that information relates; or

(d) effect, or participate in effecting transactions or orders to trade, other than for legitimate reasons in conformity

with accepted market practice on the relevant market, which—

(i) give, or are likely to give a false or misleading impression as to the supply of, or demand for, or as to the price or value of, one or more Investments; or

(ii) secure the price of one or more Investments at an abnormal or artificial level; or

(e) effect, or participate in effecting, transactions or orders to trade which employ fictitious devices or any other form of deception or contrivance; or

(f) disseminate, or cause the dissemination of, information by any means which gives, or is likely to give, a false or misleading impression as to an investment by a person who knew or could reasonably be expected to have known that the information was false or misleading.

Rules relating to market abuse

63. The Centre may make rules in respect of the scope and effect of section 62, including—

(a) the meaning of inside information;

(b) particular types of conduct that are to be regarded as contravening or not contravening section 62;

(c) particular types of conduct that are not to be regarded as contravening section 62; and

(d) reasons which may or may not be regarded as legitimate, and practices that may or may not be regarded as accepted market practice for the purposes of section 62(d);

and such rules shall be binding on all persons to whom section 62 relates.

Takeovers

64. (1) The Centre may prescribe—

(a) the procedures for and obligations of persons in respect of a takeover of an issuer whose securities are admitted to an official list with a view to ensuring that—

(i) where a takeover takes place, it does so in an efficient, competitive, fair, and informed market;

(ii) shareholders are treated fairly, and shareholders of the same class are treated the same; and

(iii) a takeover is conducted in an orderly framework;

(b) principles to be observed by a person involved in a takeover, relating to, but not limited to—

(i) treatment of shareholders and of classes of shareholders in a takeover;

(ii) adequacy of time and of information provided to shareholders to enable proper consideration of a takeover bid;

(iii) avoidance of the creation of false markets; and

(iv) avoidance of oppression of minorities.

(2) Any person who is involved in a takeover of an issuer whose securities are admitted to an official list must comply with and observe the spirit and the wording of the principles specified in paragraph (b).

(3) The requirements of this section do not apply to listed funds.

Recognition of non-international financial services centre market institutions

65. (1) Any person operating a securities exchange or clearing house from a place of business in a jurisdiction other than the international financial services centre may apply to the Centre for an order declaring it to be a recognised non-international financial services centre securities exchange or recognised non-international financial services centre clearing house, as appropriate (together "recognised non-international financial services centre market institutions").

(2) An application under subsection (1) must be made in such manner as may be prescribed in rules by the Centre.

(3) The Centre may make an order referred to in subsection (1) if, having regard to the law and practice of the country or territory in which the applicant's head office is situated and to the rules and practice of the applicant, it appears to the Centre that the following requirements are met—

(a) investors are afforded protection equivalent to that which they would be afforded if the body concerned were required to comply with the relevant requirements for the licensing of a market institution;

(b) there are adequate procedures for dealing with a person who is unable, or likely to become unable, to meet his obligations in respect of one or more market contracts connected with the stock exchange or clearing house;

(c) the applicant is able to cooperate with the Centre by sharing information and in other ways;

(d) adequate arrangements exist for cooperation between the Centre and those responsible for the supervision of the applicant in the country or territory in which the applicant or the applicant's head office is situated.

Exemption for recognised non-international financial services centre market institutions from general prohibition

66. (1) A recognised non-international financial services centre securities exchange will not be deemed to be carrying on any market activity or regulated activity in the international financial services centre where such activity—

(a) is carried on as a part of the recognised non-international financial services centre securities exchange's business as a stock

(b) is carried on for the purposes of, or in connection with, the provision by the exchange of services designed to facilitate the provision of clearing services by another person.

(2) A recognised non-international financial services centre clearing house will not be deemed to be carrying on any market activity or regulated activity in the international financial services centre where such activity—

(a) is carried on for the purposes of, or in connection with, the provision of clearing services by the recognised non-international financial services centre clearing house; or

(b) is carried on for the purposes of, or in connection with, the provision by the recognised non-international financial

services centre clearing house of services designed to facilitate the provision of clearing services by another person.

Recognised non-international financial services centre participant

67. A person located in a jurisdiction other than the international financial services centre may apply to the Centre for an order declaring it to be a recognised non-international financial services centre participant.

(2) An application under subsection (1) must be made in such manner as the Centre may by rules require.

(3) The Centre may make an order referred to in subsection (1) if the applicant satisfies the Centre that the following requirements are met—

(a) the applicant is licensed or otherwise authorised to trade on or use the facilities of an exchange or clearing house in a jurisdiction acceptable to the Centre;

(b) the applicant is regulated in respect of trading in such jurisdiction by a regulator to a standard satisfactory to the Centre;

(c) the law and practice under which the applicant is licensed or otherwise authorised is broadly equivalent to the Centre's regulatory regime as it applies to a member;

(d) when using the facilities of a recognised securities exchange or recognised clearing house, multilateral trading facility (MTF) operator, organised trading facility (OTF) operator, or Digital Asset Trading Facility (DATF) operator the applicant does not exceed the scope of the activities it is authorised to carry on by those responsible for the supervision of the applicant in the country or territory in which the applicant's head office is situated;

(e) the applicant has agreed to cooperate with the Centre and subject itself to such parts of the legal and regulatory framework administered by the Centre as the Centre may require.

(4) The Centre shall only make an order referred to in subsection (1) if adequate arrangements exist, or will exist, for co-operation

between the Centre and those responsible for the supervision of the applicant in the country or territory in which the applicant or the applicant's head office is situated.

(5) The Centre may prescribe by rules ongoing criteria which a person must satisfy in order to continue to be a recognised non-international financial services centre participant.

(6) If it is necessary or desirable in pursuit of its regulatory objectives, the Centre may revoke or vary an order declaring a person to be a recognised non-international financial services centre participant in the circumstances and manner prescribed in the rules made for the purposes of this section.

PART VII

Collective Investment Schemes

Nature of collective investment scheme

68. (1) The nature of a collective investment scheme shall be such that the persons who are to participate do not have day-to-day control over the management of the property, whether or not they have the right to be consulted or to give directions.

(2) A collective investment scheme shall have —

(a) the contributions of the participants and the profits or income out of which payments are to be made pooled;

(b) the property managed as a whole by or on behalf of the operator of the scheme.

(3) If arrangements provide for such pooling as is mentioned in subsection (2)(a) in relation to separate parts of the property, the arrangements are not to be regarded as constituting a single collective investment scheme unless the participants are entitled to exchange rights in one part for rights in another.

(4) The Centre may, by rules, provide that arrangements do not amount to a collective investment scheme—

(a) in specified circumstances; or

(b) if the arrangements fall within a specified category of arrangement.

Registration of collective investment schemes

69. (1) The Centre may make rules relating to the registration by it of collective investment schemes.

(2) Rules made by the Centre under subsection (1) may provide that all or certain categories of collective investment schemes may not be established or promoted by authorised persons unless they have been registered.

(3) Rules made by the Centre under subsection (1) may also include provisions as to—

(a) the constitution, management, and operation of such collective investment schemes;

(b) the investment and borrowing powers of such collective investment schemes;

(c) the procedure for application to the Centre for registration of collective investment schemes;

(d) operating duties and responsibilities in respect of collective investment schemes;

(e) the registration of offering material or particulars and reporting requirements for collective investment schemes; and

(f) suspension of dealings in and termination of collective investment schemes.

Power to give directions in respect of collective investment schemes

70. (1) The Centre may give directions under this section if it appears to the Centre that—

(a) in respect of a collective investment scheme registered under section 69, one or more of the requirements under the rules made pursuant to subsection 69(1) is no longer satisfied or is likely to be breached; or

(b) it is necessary or desirable to give such a direction in order to protect the interests of participants in a registered collective investment scheme.

(2) A direction under this section may—

(a) require the person or persons responsible for the management or operation of a registered collective investment scheme—

(i) to cease the issue or redemption of both the issue and redemption of units in the collective investment scheme; or

(ii) to wind up the collective investment scheme;

(b) withdraw the Centre's registration of that collective investment scheme; or

(c) restrict or suspend promotion or sale of units in a collective investment scheme.

PART VIII

SUPERVISION

Supervisory powers of Centre

71. (1) The Centre may exercise any of the powers set out in these regulations at any time where it considers it necessary or desirable to do so in accordance with its regulatory objectives.

(2) The Centre may set out in rules or guidelines the circumstances in which it is likely to exercise such powers.

(3) If the Centre has exercised one or more of the powers set out in these regulations, it may, if it considers it necessary or desirable to do so in accordance with the regulatory objectives—

(a) withdraw a prohibition, restriction, requirement, or decision to exercise any of its supervisory powers; or

(b) substitute or vary an existing prohibition, restriction, requirement, or decision to exercise any of its supervisory powers.

(4) A requirement imposed on a person as a result of the exercise of powers by the Centre under this Part may be enforceable by injunction on the application of the Centre to the Arbitration Tribunal.

(5) Any prohibition or requirement including any variation or substitution of such prohibition or requirement, does not operate so as to render an agreement unenforceable by a party to the agreement

if he proves that in entering into the agreement he acted in good faith and was unaware of any notice given, served or published in relation to such imposition, withdrawal, substitution or variation.

Power to gather information

72. (1) The Centre may, by notice in writing, require an authorised person, ancillary service provider, approved individual, designated individual or any director, employee or representative of an authorised person or ancillary service provider to—

(a) give, or procure the giving of, such specified information; or

(b) produce, or procure the production of, such specified documents;

to the Centre as the Centre may consider necessary or desirable to meet the regulatory objectives.

(2) The Centre may require an authorised person or ancillary service provider to allow the Centre to enter its premises during normal business hours or at any other time as may be agreed for the purpose of inspecting and copying information or documents stored in any form on such premises, as it considers necessary or desirable to meet the regulatory objectives.

(3) The Centre may exercise its powers under this section in respect of any information, documents or premises wherever they may be located in the Republic of Zimbabwe.

(4) Information given or a document produced as a result of the exercise of powers by the Centre under this section is admissible in evidence in any proceedings, provided that any such information or document also complies with any requirements relating to the admissibility of evidence in such proceedings.

Power to require production of report

73. (1) The Centre may, by notice in writing, require an authorised person or ancillary service provider to provide the Centre with a report on any matter as the Centre considers necessary or desirable to meet the regulatory objectives.

(2) The person appointed to make a report must be a person nominated or approved by the Centre.

(3) If a requirement has been made of an authorised person or ancillary service provider, the authorised person or ancillary service provider must take all reasonable steps to ensure that—

(a) any person who is providing or has provided services to the authorised person or ancillary service provider must provide all such assistance as the appointed person may reasonably require; and

(b) the appointed person cooperates with the Centre.

(4) The obligation in subsection (1) is enforceable on application by the Centre to the Arbitration Tribunal.

(5) The costs of providing a report must be paid by the authorised person or ancillary service provider to whom a notice has been given under subsection (1).

(6) Subject to subsection (7), information given or a document produced as a result of the exercise of powers by the Centre under this section is admissible in evidence in any proceedings, provided that any such information or document also complies with any requirements relating to the admissibility of evidence in such proceedings.

(7) The Centre may not disclose a statement made by a person in a report made pursuant to a requirement made of the person under subsection (1) to any law enforcement agency for the purpose of criminal proceedings against the person unless—

(a) the person consents to the disclosure; or

(b) the Centre is required by law or a competent court or tribunal order to disclose the statement.

Power to restrict, withdraw or suspend licence

74. The Centre may—

(a) impose or vary such conditions, restrictions and requirements on a licence as the Centre considers appropriate; or

(b) withdraw an authorised person's licence or vary its licence to remove one or more regulated activities or market activities; or

(c) withdraw an ancillary service provider's licence or vary its licence to remove one or more ancillary services; or

(d) suspend an authorised person's licence in relation to one or more regulated activities or market activities.

(e) suspend an ancillary service provider's licence in relation to one or more ancillary services.

Power to impose prohibition

75. (1) The Centre may prohibit an authorised person or ancillary service provider from—

(a) entering into certain specified transactions or types of transactions; or

(b) soliciting business from certain specified persons or types of persons; or

(c) carrying on business in a specified manner or other than in a specified manner; or

(d) using a particular name or description in respect of the authorised person or ancillary service provider; or

(e) dealing with any relevant property in a specified manner or other than in a specified manner; or

(f) assisting, counselling, or procuring another person to deal with any relevant property in a specified manner or other than in a specified manner.

(2) The decision-making procedures in Second Schedule apply to a decision made by the Centre under this section.

Power to give directions for prudential purposes and capital requirements

76. (1) For prudential purposes and capital requirements, the Centre may direct an authorised person or authorised persons within a specified class to, among other things—

(a) comply with any specified additional capital or liquidity requirements;

(b) apply a specific provisioning policy or treatment of specified assets;

(c) comply with specified limits on material risk exposures;

(d) comply with specified limits on exposures to related parties;

(e) meet additional or more frequent reporting requirements; or

(f) take such other action as is specified in the direction.

(2) The Centre may direct an affiliate of an authorised person to take specified actions or not to carry on specified activities if the Centre—

(a) is the consolidated supervisor of the group to which the authorised person belongs; and

(b) is satisfied that the direction is necessary or desirable for the purposes of the effective prudential supervision of the group on a consolidated basis.

(3) A direction to an affiliate under subsection (2) may include a requirement that the affiliate—

(a) limit any activities it carries on or may carry on, including closing any office which is outside the jurisdiction in which it has its principal place of business and head office, if the activities are reasonably likely to expose the authorised person or its group to excessive risks or risks that are not properly managed; or

(b) take such other measures as are necessary to remove any impediments to effective supervision of the group on a consolidated basis, including a direction to take steps to restructure the group.

(4) Nothing in this section limits the scope or application of any other power that the Centre may have in these regulations, any rules or regulations, or legislation administered by it.

(5) A direction given under this section comes into force on the date specified in it and remains in force, until it is revoked or varied in writing by the Centre under subsection (7).

(6) The Centre may revoke or vary any direction given pursuant to this section.

(7) A direction given to authorised persons within a specified class under subsection (1), including any variation made to such a direction under subsection (6), may not remain in force for a period longer than twelve months from the date specified in the initial direction given under subsection (1).

(8) The decision-making procedures in the Second Schedule apply to a decision made by the Centre under this section.

Power to impose requirement

77. (1) For the purposes of this section—

"dealing" in relation to property includes the maintaining, holding, disposing of, and transferring of property; and

"relevant property" in relation to an authorised person, means—

(a) any property held by the person on behalf of any of the clients of the person, or held by any other person on behalf of or to the order of the person; or

(b) any other property which the Centre reasonably believes to be owned or controlled by the person.

(2) The Centre may require an authorised person or ancillary service provider to—

(a) take or refrain from taking such action as the Centre considers appropriate;

(b) carry on business in, and only in, a specified manner;

(c) deal with any relevant property in a specified manner;

(d) deal with any relevant property such that—

(i) the property remains of a value and in a condition that appears to the Centre to be desirable with a view to ensuring that the authorised person or ancillary service provider will be able to meet its liabilities in relation to the business which constitutes a regulated activity or ancillary service for which it holds a licence; and

(ii) the authorised person or ancillary service provider is able at any time to transfer or dispose of or otherwise deal with the property when instructed to do so by the Centre.

(3) The decision-making procedures in Second Schedule apply to a decision made by the Centre under this section.

Power to enter into enforceable agreement

78. (1) The Centre may enter into a written agreement with any person.

(2) An agreement under subsection (1) may include an agreement to—

(a) pay any sum to any person, including the Centre; or

(b) take remedial action; or

(c) do and not do any other thing.

(3) The terms of such an agreement may be varied with the written consent of the Centre.

(4) If the Centre considers that a person who entered into the agreement has been or is in breach of any of its terms, it may apply to the Arbitration Tribunal for—

(a) an order directing the person to comply with the terms of the agreement; or

(b) an order directing the person to pay to any person or to the Centre an amount up to the amount of any financial benefit that the person has obtained directly or indirectly and that is reasonably attributable to the breach; or

(c) any order that the Arbitration Tribunal considers appropriate, directing the person to compensate any other person who has suffered loss or damage as a result of the breach; or

(d) any other order that the Arbitration Tribunal considers appropriate.

Obligation to disclose certain information to Centre

79. (1) Subject to subsection (2), an authorised person or ancillary service provider must disclose to the Centre anything which reasonably tends to show—

(a) a breach, or likely breach of a provision of legislation administered by the Centre; or

(b) a failure, or likely failure, to comply with any obligation to which an authorised person or ancillary service provider is subject under such legislation; or

(c) any other matter as the Centre may prescribe in rules;

which may be attributable to the conduct of the authorised person or ancillary service provider or its directors, officers, employees or representatives.

(2) Subsection (1) does not apply to the extent that compliance with such requirement would disclose privileged communication.

(3) An authorised person or ancillary service provider must establish and implement appropriate systems and internal procedures to enable its compliance with subsection (1).

(4) Any provision in an agreement between an authorised person, ancillary service provider and a director, officer, employee, representative or auditor thereof is void in so far as it purports to hinder compliance with an obligation under subsection (1).

(5) No person may be subjected to detriment or loss or damage merely by reason of undertaking any act to cause or assist an authorised person or ancillary service provider to comply with an obligation under subsection (1).

(6) The Arbitration Tribunal may, on application of an aggrieved person, make any order for relief where a person has been subjected to any such detriment or loss or damage as referred to in subsection (5).

Obligation to comply with an order or requirement of Centre

80. If the Centre makes an order, gives a direction or prohibition, or makes any requirement in relation to an authorised person or ancillary service provider pursuant to a provision of these regulations or rules made thereunder or other legislation administered by the Centre, such authorised person or ancillary service provider must, unless he or she has a reasonable excuse, comply with such order, direction, prohibition or requirement.

Provision of information to Centre

81. (1) It shall be an offence for an authorised person or ancillary service provider to—

(a) provide information which is false, misleading or deceptive to the Centre; or

(b) conceal information where the concealment of such information is likely to mislead or deceive the Centre.

(2) An ancillary service provider must provide to the Centre, on an annual basis, an activity report using the appropriate form specified by the Centre.

Obstruction of Centre

82. (1) A person commits an offence if, with intent to obstruct or impede the Centre, he or she obstructs, impedes, or interferes with the exercise by the Centre of any power under this Part or Part IX (Enforcement).

(2) Without limiting subsection (1), a person obstructs the Centre if he or she—

(a) destroys, conceals, alters, or disposes of any document or record relevant to an investigation by the Centre;

(b) fails, without lawful excuse, to provide information or produce documents lawfully required by the Centre;

(c) fails, without lawful excuse, to attend before the Centre at a time and place lawfully specified to answer questions;

(d) knowingly gives information to the Centre that is false or misleading in a material particular; or

(e) fails, without lawful excuse, to provide any assistance reasonably required by the Centre in relation to an investigation, where the person is able to do so.

No liability for provision of information or documents to Centre

83. An authorised person, an ancillary service provider, an approved individual, a designated individual, or any other employee or director of an authorised person or an ancillary service provider is neither liable to a proceeding, nor subject to a liability, nor in breach of any duty, merely by reason of—

(a) complying, or proposing to comply, with a requirement made, or purporting to have been made, under any provision of this Part for inspection of, copying of, giving of, or production of, information or documents;

(b) the giving of information or production of a document by the person to the Centre in good faith and in reasonable belief that the information or document is relevant to any functions of the Centre, whether such information or document is given or produced pursuant to a requirement at law or otherwise.

Self-incrimination

84. Subject to section 85(1), it shall not be a reasonable excuse for a person to refuse or fail to—

(a) permit inspection and copying of any information or document; or

(b) give or produce, or procure the giving or production of, any information or document; or

(c) answer questions;

pursuant to any requirement under either this Part (Supervision) or Part IX (Enforcement) on the grounds that any such information or document or answer, as the case may be—

(i) might tend to incriminate the person or make the person liable to a penalty; or

(ii) is, or contains, or might reveal a privileged communication; or

(iii) is, or contains, or might reveal a communication made in confidence.

Privilege

85. (1) Where the Centre requires a legal practitioner to give information or to produce a document or to answer a question, and the giving of the information or the production of the document or the answer to the question would involve disclosing privileged communication made by, on behalf of, or to, the legal practitioner in his or her capacity as a legal practitioner, the legal practitioner shall be entitled to refuse to comply with the requirement unless—

(a) where the person to whom, or by, or on behalf of whom, the communication was made is a body corporate that is under official management or is being wound up, the official manager or liquidator of the body, as the case may be, consents to the legal practitioner complying with the requirement; or

(b) otherwise, the person to whom, or by, or on behalf of whom, the communication was made consents to the legal practitioner complying with the requirement.

(2) Where a legal practitioner refuses to comply with a requirement, he or she must, as soon as practicable, give to the Centre a written notice setting out—

(a) where the legal practitioner knows the name and address of the person to whom, or by whom, or on behalf of whom, the communication was made, then that name and address; and

(b) where the requirement to give information or produce a document relates to a communication which was made in writing, then sufficient particulars to identify the document containing the communication.

Requirement to appoint auditor

86. (1) An authorised person must appoint an auditor.

(2) The Centre may, or the Arbitration Tribunal, on an application made by the Centre, order an authorised person to—

(a) appoint an auditor, if an auditor has not been appointed by the authorised person; or

(b) remove an auditor and appoint a new auditor, if in the opinion of the Centre or the Arbitration Tribunal, the auditor appointed by the authorised person is not suitable to provide audit services.

(3) The decision-making procedures in Second Schedule apply to a decision made by the Centre under this section.

Auditor rules

87. The Centre may make such rules regarding—

(a) the appointment, term of office, registration, or removal of auditors;

(b) the qualification or approval of auditors;

(c) the duties, functions, and powers of auditors;

(d) the scope, content, and timing of any reports, reviews, or audits to be undertaken by auditors;

(e) the remuneration of auditors;

(f) the notification or reporting obligations of auditors; and

(g) such other related or ancillary matters the Centre deems fit.

Financial service transfers

88. (1) For the purposes of this Part—

"relevant transfer" means the transfer of the business of carrying on specified regulated activities by an authorised firm.

(2) The Centre may provide by rules that a relevant transfer may be made either—

(a) by an order of the Arbitration Centre under section 90; or

(b) by such an order if the transferor elects.

Application to Arbitration Tribunal

89. (1) An application to the Arbitration Tribunal for an order sanctioning a relevant transfer may be made by either the transferor or the transferee under the relevant transfer or both.

(2) Where an application is made to the Arbitration Tribunal for an order sanctioning a relevant transfer, the Centre may give directions in respect of—

(a) the preparation of a report in relation to the transfer;

(b) the notification of specified persons of the transfer; and

(c) the publication of notices in relation to the transfer.

(3) In an application made in terms of subsection (1), the following persons are entitled to be heard—

(a) any person who alleges that he would be adversely affected by the carrying out of the transfer; and

(b) the Centre.

Powers of Tribunal in relation to transfer scheme

90. (1) The Arbitration Tribunal may make an order under this section approving a relevant transfer if—

(a) any directions given by the Centre pursuant to section 89(2) have been complied with;

(b) on or before the relevant transfer becomes effective, the transferee—

(i) will have the authorisation required, if any, to enable it to carry on the business which is to be

transferred to it in the place to which it is to be transferred; and

(ii) will possess adequate financial resources to carry on the business concerned in accordance with the legislation applicable in the place to which it is to be transferred;

and the Arbitration Tribunal considers, in all the circumstances of the case, that it is appropriate to sanction the relevant transfer.

(2) If the Arbitration Tribunal makes an order sanctioning a relevant transfer, it may, by that or any subsequent order, make such provision, if any, as it thinks fit—

(a) for the transfer to the transferee of the whole or any part of the undertaking concerned and of any property or liabilities of the authorised firm concerned; or

(b) for the continuation by, or against, the transferee of any pending legal proceedings by, or against, the firm concerned; or

(c) with respect to such incidental, consequential, and supplementary matters as are, in its opinion, necessary to secure that the relevant transfer is fully and effectively carried out; or

(d) for dealing with the interests of any person who, within such time and in such manner as the Arbitration Tribunal may direct, objects to the relevant transfer; or

(e) for the dissolution, without winding up, of any firm concerned.

(3) An order may—

(a) transfer property or liabilities, whether or not the authorised firm concerned otherwise has the capacity to effect the transfer in question; or

(b) make provision in relation to property which was held by the authorised firm concerned as trustee; or

(c) make provision for future or contingent rights or liabilities of the authorised firm concerned, including the construction of instruments under which such rights or liabilities may arise.

(4) If an order makes provision for the transfer of property or liabilities—

(a) the property is transferred to and vests in; and

(b) the liabilities are transferred to and become liabilities of;

the transferee as a result of the order.

(5) If any property or liability included in the order is governed by the law of any jurisdiction other than the international financial services centre, the order may require the authorised firm concerned, if the transferee so requires, to take all necessary steps for securing that the transfer to the transferee of the property or liability is fully effective under the law of that country or territory.

(6) Property transferred as the result of an order under this section may, if the Arbitration Tribunal so directs, vest in the transferee free from any charge which is to cease to have effect.

(7) An order under this section that provides for the transfer of property is to be treated as an instrument of transfer for the purposes of any regulation or rule requiring the delivery of an instrument of transfer to register property.

PART IX

Enforcement

Power of Centre to conduct investigation

91. (1) The Centre may conduct such an investigation as it considers appropriate and expedient—

(a) where there is reason to suspect that a contravention of any legislation administered by the Centre is being or may have been committed; or

(b) pursuant to a request made by a financial services regulator.

(2) A person is entitled to legal representation during the course of an investigation.

Costs of an investigation

92. (1) The Centre will pay the costs and expenses of an investigation save that, where, as a result of an investigation under

section 91, the person under investigation is found to have contravened any legislation administered by the Centre, the Centre or, where appropriate, the Arbitration Tribunal, may order that the person must pay the Centre in respect of the whole or any part of the costs and expenses of the investigation.

(2) The Centre may apply to the Arbitration Tribunal for an order under subsection (1) only where there is a proceeding before the Arbitration Tribunal relating to the alleged contravention by the person.

Powers to obtain information and documents for investigation

93. (1) If the Centre considers that a person is or may be able to give information or produce a document which is or may be relevant to an investigation, it may—

(a) enter the business premises of such person during normal business hours for the purpose of inspecting and copying information or documents stored in any form on such premises;

(b) require such person, by written notice, to—

(i) give, or procure the giving of, specified information in such form as it may reasonably require; or

(ii) produce, or procure the production of, specified documents; or

(iii) attend before an officer or employee of the Centre at a specified time and place to answer questions; or

(iv) give it assistance in relation to the investigation.

(2) Where the Centre exercises its power under subsection (1)(a) to enter business premises, it may—

(a) require any appropriate person to make available any relevant information stored at those premises for inspection or copying;

(b) require any appropriate person to convert any relevant information into a form capable of being copied; and

(c) use the facilities of the occupier of the premises, free of charge, to make copies.

(3) Where the Centre exercises its power under subsection (1)(b)(iii) to conduct a compulsory interview, it may give a direction—

(a) concerning who may be present;

(b) preventing any person present during any part of the compulsory interview from disclosing to any other person any information provided to the interviewee or questions asked by the interviewer during the compulsory interview;

(c) concerning the conduct of any Person present, including as to the manner in which they will participate in the interview;

(d) requiring the interviewee to swear an oath or give an affirmation that the answers of the interviewee will be true; and

(e) requiring the interviewee to answer any questions relevant to the investigation.

(4) The Centre may require the relevant person to give such information or produce such documents by the end of a reasonable period, at a place and in a form specified in the notice.

(5) The Centre may exercise its powers under subsection (1) in respect of any person within, or outside of, the Centre provided that, if the person is outside the Centre and is not an authorised person, ancillary service provider, or approved individual, designated individual, or director of an authorised person or ancillary service provider, the Centre shall either—

(a) use any arrangements it has with a regulatory authority in the jurisdiction in which the person is resident or domiciled, or the premises are located, to assist it to exercise the power; or

(b) apply to the Arbitration Tribunal for an order compelling the person to provide the information, produce or procure the production of the documents, or answer questions, or permitting the Centre to enter the premises of that person.

Use and effect of information and documents obtained for investigation

94. (1) Subject to subsection (2), any information given or document produced as a result of the exercise of powers by the Centre under section 93 is admissible in evidence in any proceedings, provided that any such information or document also complies with any requirements relating to the admissibility of evidence in such proceedings.

(2) The Centre may not disclose a statement made by a person in answer to any question asked pursuant to a requirement made of the person under section 93(1)(b)(iii) to any law enforcement agency for the purpose of criminal proceedings against the person unless—

(a) the person consents to the disclosure; or

(b) the Centre is required by law or court order to disclose the statement.

(3) The Centre may retain possession of any information and documents given to it pursuant to a requirement made under section 93(1) for so long as is necessary—

(a) for the purposes of the investigation to which the notice relates; or

(b) for a decision to be made about whether or not a proceeding to which the information or documents would be relevant should be commenced; or

(c) for such a proceeding to be completed.

(4) A person is not entitled to claim a lien on any documents as a basis for failing to comply with a requirement made under section 93(1), but any lien is not otherwise prejudiced.

(5) Where a person is unable to produce information or documents in compliance with a requirement made under section 93(1), the Centre may require the person to state, to the best of that person's knowledge or belief, where the information or documents may be found and who last had possession, custody or control of the information or documents.

(6) Where the Centre considers that, if disclosed, the fact of the issuing of a notice requiring a person to—

(a) produce documents; or

(b) give information; or

(c) attend a compulsory interview; or

(d) give assistance;

may hinder the investigation to which it relates, the Centre may direct a person who receives a notice under section 93(1) or that person's legal representative not to disclose the receipt of the notice or any information relating to compliance therewith to any other person, other than his legal representative under a duty of confidentiality.

Sanctions for contraventions

95. (1) If the Centre considers that a person has committed a contravention, it may—

(a) fine the person such an amount as it considers appropriate in respect of the contravention;

(b) censure the person in respect of the contravention;

(c) make a direction requiring the person to effect restitution or compensate any other person in respect of the contravention within such period and on such terms as the Centre may direct;

(d) give a direction requiring the person to account for, in such form and on such terms as the Centre may direct, such amounts as the Centre determines to be profits or unjust enrichment arising from the contravention;

(e) give a direction requiring the person to cease and desist from such activity constituting or connected to the contravention as the Centre may stipulate;

(f) give a direction requiring the person to do an act or thing to remedy the contravention or matters arising from the contravention;

(g) give a direction restricting or prohibiting the person from holding office in or being a director or employee of any authorised person or ancillary service provider.

(2) Nothing in this section prevents the Centre from exercising any other power that it may exercise under any legislation administered by it.

(3) The decision-making procedures in Second Schedule apply to a decision made by the Centre under this section.

General contravention provision

96. A person commits a contravention if he or she—

(a) fails to comply with any prohibition or requirement imposed on him by the Centre, any undertaking given by him to the Centre, or any agreement made by him with the Centre; or

(b) does anything that is prohibited under, or that contravenes any legislation administered by the Centre; or

(c) does not do something that the person is required to do under any legislation administered by the Centre; or

(d) commits an act of fraud or abuses any fiduciary duty which he owes to his clients or customers or to an authorised person; or

(e) acts in a deceptive, misleading, or dishonest manner in any context; or

(f) otherwise commits any contravention described as such in these regulations or rules made by the Centre.

Involvement in contraventions

97.(1) Any person who is knowingly concerned in a contravention by another person of legislation administered by the Centre commits a contravention of the relevant legislation.

(2) A person is deemed to be knowingly concerned in a contravention of legislation administered by the Centre if he or she—

(a) has aided, abetted, counselled, or procured the contravention; or

(b) has induced, whether by threats or promises or otherwise, the contravention; or

(c) has in any way, by act or omission, directly or indirectly, been knowingly involved in or been party to the contravention; or

(d) has conspired with another or others to commit the contravention.

Contraventions by bodies corporate

98. (1) If a contravention of legislation administered by the Centre is committed by a body corporate—

(a) with the consent or connivance of an officer of the body corporate; or

(b) as a result of the body corporate's negligence;

the officer, as well as the body corporate, commits the contravention and is liable to sanctions accordingly.

(2) If the affairs of a body corporate are managed by its members, subsection (1) applies in relation to the acts and defaults of a member in connection with his functions of management as if he were a director of the body corporate.

(3) The Centre may, by rules, provide for the application of any provision of this section, with such modifications as the Centre considers appropriate to a body corporate formed or recognised under the law of a territory outside the international financial services centre.

Other enforcement powers- appointment of managers

99. (1) Where it considers it necessary or desirable in the pursuit of its objectives, the Centre may issue a written notice requiring an authorised person to appoint one or more individuals to act as managers of the business of such person on such terms as the Centre may specify in any such notice.

(2) The terms specified in the written notice may be varied by the Centre from time to time by further written notice.

(3) An individual so appointed by an authorised person must be either nominated or approved by the Centre.

Compulsory winding up

100. (1) The Centre may petition the Arbitration Tribunal for the winding up of an authorised person or ancillary service provider.

(2) On such a petition, the Arbitration Tribunal may wind up the authorised person or ancillary service provider if it is of the opinion that it is just and equitable that the authorised person or ancillary service provider be wound up.

Injunctions, restitution and actions for damages

101. Where a person has engaged, is engaging, or is proposing to engage in conduct that constitutes, or would constitute, a contravention within the meaning of section 96, the Arbitration Tribunal may, on

application of the Centre or any aggrieved person, make one or more of the following orders—

(a) an order restraining the person from engaging in the conduct, including but not limited to, engaging in conduct that may constitute a contravention;

(b) an order requiring that person to do any act or thing, including, but not limited to, acts or things to remedy the contravention or to minimise loss or damage;

(c) any other order as the Arbitration Tribunal sees fit.

Injunction – investigations and proceedings

102. (1) Where—

(a) the Centre is conducting or has conducted an investigation into the acts or omissions of a person which may constitute a contravention within the meaning of section 96; or

(b) a civil or regulatory proceeding has been instituted, by the Centre or otherwise, against a relevant person in relation to an alleged contravention;

the Arbitration Tribunal may, on application of the Centre or any aggrieved person, make one or more of the following orders—

(i) an order restraining the person from paying, transferring, disposing of, or otherwise dealing with, any assets of his which he is reasonably likely to dispose of or otherwise deal with;

(ii) an order restraining any other person holding assets on behalf of the relevant person from paying, transferring, disposing of, or otherwise dealing with, any assets of the relevant person which are reasonably likely to be disposed of or otherwise dealt with;

(iii) an order prohibiting the person or any other person from taking or sending out of the jurisdiction of the Arbitration Tribunal any assets of the relevant person or held on his behalf;

(iv) if the relevant person is a natural person—

A. an order appointing a receiver or trustee, having such powers as the Arbitration Tribunal may

see fit, of the property or any of the property of the relevant person;

B. an order requiring him to deliver up to the Arbitration Tribunal his passport and such other documents as the Arbitration Tribunal sees fit; or

C. an order prohibiting him from leaving the Republic of Zimbabwe without the consent of the Arbitration Tribunal;

(v) if the relevant person is a body corporate, an order appointing a receiver or receiver and manager, having such powers as the Arbitration Tribunal may see fit, of the property or any of the property of the relevant person.

(2) Nothing in this section affects the powers that any person or the Arbitration Tribunal may have apart from this section.

Injunction – market abuse

103.(1) If, on the application of the Centre, the Arbitration Tribunal is satisfied—

(a) that there is a reasonable likelihood that any person will engage in market abuse; or

(b) that any person is or has engaged in market abuse and that there is a reasonable likelihood that the market abuse will continue or be repeated;

the Arbitration Tribunal may make an order restraining the market abuse.

(2) If on the application of the Centre, the Arbitration Tribunal is satisfied—

(a) that any person is or has engaged in market abuse; and

(b) that there are steps which could be taken for remedying the market abuse;

the Arbitration Tribunal may make an order requiring him to take such steps as the Arbitration Tribunal may direct to remedy it.

(3) If, on the application of the Centre, the Arbitration Tribunal is satisfied that any person—

(a) may be engaged in market abuse; or

(b) was engaged in market abuse;

the Arbitration Tribunal may make an order restraining the person concerned from disposing of, or otherwise dealing with, any assets of his which it is satisfied that he is reasonably likely to dispose of or otherwise deal with.

(4) In subsection (2), references to remedying any market abuse include references to mitigating its effect.

Restitution order – contraventions

104. (1) The Arbitration Tribunal may, on the application of the Centre, make an order under subsection (2) if it is satisfied that a person has committed a contravention within the meaning of section 96, and—

(a) that profits have accrued to him as a result of the contravention; or

(b) that one or more persons have suffered loss or been otherwise adversely affected as a result of the contravention.

(2) The Arbitration Tribunal may order the person concerned to pay to the Centre such sum as appears to the Tribunal to be just and equitable, having regard—

(a) in a case within paragraph (a) of subsection (1), to the profits appearing to the Arbitration Tribunal to have accrued; and

(b) in a case within paragraph (b) of subsection (1), to the extent of the loss or other adverse effect; and

(c) in a case within both of those paragraphs, to the profits appearing to the Arbitration Tribunal to have accrued, and to the extent of the loss or other adverse effect.

(3) Any amount paid to the Centre pursuant to an order made in terms of subsection (2) shall be paid by the Centre to such person or distributed by the Centre among such persons as the Arbitration Tribunal may direct.

(4) On an application under subsection (1), the Arbitration Tribunal may require the person concerned to supply it with such

accounts or other information as it may require for any one or more of the following purposes:

(a) establishing whether any and, if so, what profits have accrued to him as mentioned in paragraph (a) of subsection (1);

(b) establishing whether any person or persons have suffered any loss or adverse effect as mentioned in paragraph (b) of subsection (1) and, if so, the extent of that loss or adverse effect; and

(c) determining how any amounts are to be paid or distributed under subsection (3).

(5) The Arbitration Tribunal may require any accounts or other information supplied under subsection (4) to be verified in such manner as it may direct.

(6) Nothing in this section affects the right of any person other than the Centre to bring proceedings in respect of the matters to which this section applies.

Restitution order – market abuse

105. (1) The Arbitration Tribunal may, on the application of the Centre, make an order under subsection (3) if the condition mentioned in subsection (2) is fulfilled, and it is satisfied that a person—

(a) has engaged in market abuse; or

(b) by taking or refraining from taking any action, has required or encouraged another person or persons to engage in behaviour which, if engaged in by the person concerned, would amount to market abuse.

(2) The condition referred to in subsection (1) is that—

(a) profits have accrued to the person concerned as a result; or

(b) one or more persons have suffered loss or been otherwise adversely affected as a result.

(3) The Arbitration Tribunal may order the person concerned to pay to the Centre such sum as appears to the Arbitration Centre to be just, having regard—

(a) in a case within paragraph (a) of subsection (2), to the profits appearing to the Arbitration Tribunal to have accrued;

(b) in a case within subsection (2)(b), to the extent of the loss or other adverse effect;

(c) in a case within both of those paragraphs, to the profits appearing to the Arbitration Tribunal to have accrued, and to the extent of the loss or other adverse effect:

Provided that the Arbitration Tribunal may not make an order under this subsection if it is satisfied that—

(i) the person concerned believed, on reasonable grounds, that his behaviour did not fall within subsection (1)(a) or (b); or

(ii) the person concerned took all reasonable precautions and exercised all due diligence to behave in a way which fell within subsection (1)(a) or (b).

(4) Any amount paid to the Centre pursuant to an order made under subsection (3) must be paid by the Centre to such person or distributed by it among such persons as the Arbitration Tribunal may direct.

(5) On an application under subsection (1), the Arbitration Tribunal may require the person concerned to supply it with such accounts or other information as it may require for any one or more of the following purposes—

(a) establishing whether any and, if so, what profits have accrued to him as mentioned in subsection (2)(a);

(b) establishing whether any person has suffered any loss or adverse effect as mentioned in subsection (2)(b) and, if so, the extent of that loss or adverse effect; and

(c) determining how any amounts are to be paid or distributed under subsection (5).

(6) The Arbitration Tribunal may require any accounts or other information supplied under this section to be verified in such manner as it may direct.

(7) Nothing in this section affects the right of any person other than the Centre to bring proceedings in respect of the matters to which this section applies.

Action for damages

106. (1) Unless otherwise provided under rules made by the Centre, where a person—

(a) intentionally, recklessly, or negligently commits a breach of duty, requirement, prohibition, obligation or responsibility imposed by or under these regulations; or

(b) commits fraud or other dishonest conduct in connection with a matter arising under such regulations;

he or she shall be liable to compensate any other person for any loss or damage caused to that other person as a result of such conduct and otherwise is liable to restore such other person to the position they were in before such conduct.

(2) The Arbitration Tribunal may, on application of the Centre or a person who has suffered loss or damage caused as a result of conduct described in subsection (1), make orders for the recovery of damages or for compensation or for the recovery of property or for any other order as the Arbitration Tribunal sees fit, except where such liability is excluded under these regulations or any rules made by the Centre.

(3) Nothing in this section affects the powers that any person or the Arbitration Tribunal may have apart from this section.

Power of Centre to intervene in proceedings

107. (1) The Centre may intervene as a party in any proceedings in the Arbitration Tribunal where it considers such intervention appropriate to meet one or more of its regulatory objectives.

(2) Where the Centre so intervenes, it will, subject to any other law, have all the rights, duties and liabilities of such a party.

Procedural irregularities

108. (1) A procedure under these regulations or any other rules or regulations is not invalidated because of any procedural irregularity unless the Arbitration Tribunal declares the procedure to be invalid.

(2) For the purposes of this section—

(a) procedure includes the making of a decision, the conduct of a hearing, the giving of the relevant notice, and any proceedings, legal or otherwise; and

(b) procedural irregularity includes a defect, irregularity, or deficiency of notice or time.

PART X

Confidentiality

Confidential information

109. (1) For the purposes of these regulations—

"confidential information" means—

(a) information received by the Centre or an officer, employee, or delegate of the Centre in the exercise of a function under these regulations or any other regulations or rules administered by the Centre; and

(b) does not include information that has been made available to the public in circumstances in which disclosure is permitted under these regulations or any other regulations or rules administered by the Centre.

General prohibition on disclosure

110. (1) Subject to subsection (2), confidential information must not be disclosed to a third party by the Centre or by an officer, employee, or delegate of the Centre, or by any person coming into possession of the information, without the consent of the person to whom the duty of confidentiality is owed.

(2) The Centre may disclose confidential information if such disclosure—

(a) is permitted or required under these regulations or any other regulations or rules administered by the Centre;

(b) is made to any of the authorities listed in the Co-operation and Exchange of Information Framework for the purpose of assisting the exercise by any such authority of its regulatory functions; or

(c) is made in good faith for the purposes of the exercise of the functions and powers of the Centre.

(3) A contravention in bad faith of subsection (1) by an officer, employee, delegate, or agent of the Centre, or by any other

person coming into possession of the information, is punishable by a fine of such amount as it considers appropriate in respect of the contravention up to a maximum fine of Ten Thousand United States Dollars ($10,000) or disciplinary proceedings. The Centre may also seek injunctive relief if appropriate.

(4) The Centre may make rules for the purpose of ensuring the confidentiality of information received in the exercise of a regulatory function.

Prohibition on disclosure for person

111. Any person who receives from the Centre a notice, decision, direction, order, request or warning, which is marked as confidential, must not disclose the existence and content of such notice, decision, direction, order, request or warning to any third party except for obtaining necessary professional advice in relation to the person's rights and obligations.

PART XI

Co-operation and Exchange of Information

Regulatory cooperation

112. (1) The Centre may, where it considers appropriate, exercise its powers under these regulations or under any other regulations or rules for the purpose of assisting the exercise by specified persons of their regulatory functions.

(2) The Centre must implement policies and procedures to ensure that it—

(a) is able to exercise its powers on behalf of specified persons, including powers to obtain information that has been appropriately requested;

(b) protects the confidentiality of such information; and

(c) restricts the disclosure of such confidential information by limiting the purposes for which, and the persons to whom, such disclosure may be made.

(3) The Centre may make rules for the purpose of assisting the exercise by specified persons of their regulatory functions.

PART XII

Recovery and Resolution

General application

113. (1) This Part applies to—

(a) an authorised person, or a class of authorised persons, prescribed by the Centre; and

(b) an entity in a group to which an authorised person or member of a class referred to in paragraph (a) belongs if that entity is specified by written notice by the Centre as an entity having systemic importance.

(2) An authorised person does not cease to be an authorised person or an authorised person of a particular class for the purposes of this Part merely because it ceases to—

(a) hold a licence to carry on a financial service; or

(b) carry on a financial service, as a result of a resolution action.

(3) Nothing in this Part limits the scope or application of any other provision in these regulations or any other legislation administered by the Centre.

Rules for purposes of this Part

114. The Centre may make rules for the purposes of this Part, including rules relating to—

(a) the class of authorised persons to whom this Part applies;

(b) recovery or resolution plans;

c) resolvability assessments;

(d) the holding and maintenance of loss-absorbing capacity;

(e) the resolution powers and resolution tools;

(f) the appointment of independent valuers and the valuations required under this Part;

(g) the recognition of resolution action taken in jurisdictions outside the international financial services centre;

(h) the effect of action taken under this Part on provisions in agreements or contracts;

(i) the notification of events relevant to the Centre's exercise of its powers under this Part;

(j) the conditions and procedures relating to the Centre exercising any powers under this Part; and

(k) any other matter necessary or incidental to give effect to this Part.

Recovery plans

115. (1) In this section—

"recovery plan" means a plan setting out the measures to be taken to restore the financial position of an authorised person, or one or more entities in its group, in the event of a serious deterioration of the authorised person's financial position.

(2) This section applies to an authorised person who—

(a) is of a class prescribed in the rules as requiring a recovery plan; or

(b) is not included in a class prescribed under paragraph (a) but has been given written notice by the Centre that it must prepare a recovery plan.

(3) An authorised person must prepare and submit a recovery plan for review by the Centre.

(4) The recovery plan must be in writing and set out such information as may be prescribed in the rules.

(5) The Centre may, by written notice given to the authorised person, require it to prepare and submit to the Centre such information that the Centre considers reasonably necessary for it to assess the adequacy of the authorised person's recovery plan.

(5) If the Centre is not satisfied with an authorised person's recovery plan, it may, by written notice, require the authorised person to take measures to rectify any deficiencies in the recovery plan and submit the rectified recovery plan to the Centre.

(6) An authorised person must review and update its recovery plan and submit the updated recovery plan to the Centre—

(a) annually;

(b) where there has been a material change reasonably likely to affect the implementation of the original recovery plan; or

(c) if otherwise directed in writing by the Centre to do so.

Resolution plans

116. (1) In this section—

"resolution plan" means a plan prepared by the Centre for the purpose of securing an orderly resolution of an authorised person.

(2) The Centre may prepare a resolution plan setting out—

(a) the strategies for the resolution, including consideration of failure scenarios, the options for the exercise of the resolution powers, the application of the resolution tools; and

(b) such information as may be prescribed in the rules.

(3) If the Centre decides to prepare a resolution plan with respect to an authorised person, it must inform the authorised person in writing of that decision.

(4) An authorised person that is informed of the Centre's decision to prepare a resolution plan must, to the extent reasonably necessary for the Centre to prepare, assess, or update the resolution plan, do the following—

(a) maintain in the Centre up-to-date information and systems; and

(b) if required in writing by the Centre, provide to the Centre any information and assistance within a specified period.

Resolvability assessment

117. (1) In this section—

"resolvability assessment" means the assessment conducted by the Centre to determine if there are any impediments that may prevent or affect the resolvability of an authorised person.

(2) For the purposes of conducting a resolvability assessment, the Centre may require an authorised person to provide such information and assistance as the Centre considers reasonably necessary.

Requirement to remove impediments to resolvability

118. (1) The Centre may, by written notice, require an authorised person or an entity in its group to take such measures as the Centre

considers reasonably necessary to remove impediments to, or improve, the resolvability of an authorised person.

(2) The measures may include changes relating to—

(a) legal, ownership, or governance structure;

(b) operations, including intra-group dependencies and relationships with third parties;

(c) business activities or practices;

(d) financial matters, including assets, liabilities, rights, and obligations;

(e) funding strategy, including measures to improve the resilience of core business lines and critical functions;

(f) risk profile, including liquidity risk; or

(g) terms to be included in contracts.

(3) The decision-making procedures in the Second Schedule apply to a decision made by the Centre under this section.

Loss-absorbing capacity requirement

119. (1) The Centre may, by written notice, require an authorised person to hold and maintain a minimum number of financial instruments or resources available during resolution—

(a) to absorb losses; and

(b) to enable the authorised person to be recapitalised so that it can continue to perform critical functions while resolution is ongoing.

(2) The Centre must specify in the notice the nature of the financial instruments or resources to be held and maintained by the authorised person.

(3) The Centre may vary or revoke a requirement under this section.

(4) The decision-making procedures in the Second Schedule apply to a decision made by the Centre under this section.

Conditions for exercise of early intervention powers

120. The Centre may exercise one or more of its powers specified in section 121 in relation to an authorised person if it considers that—

(a) an authorised person's liquidity or solvency is impaired, or may soon be impaired unless there is a major improvement in its financial resources, assets, leverage exposures, risk profile, business model, risk management systems and controls, or quality of its governance and management;

(b) one or more indicators in the authorised person's recovery plan for taking action to restore its financial position demonstrate inadequate remedial action; or

(c) it is otherwise necessary and desirable to meet the Centre's objectives.

Early intervention powers

121. (1) The Centre may, by written notice, require an authorised person to prepare and submit to the Centre a corrective action plan that—

(a) examines the status of its liquidity or solvency impairment;

(b) explains in detail the corrective actions that will be taken to address and rectify identified weaknesses; and

(c) sets out the timeframes for the corrective actions.

(2) The Centre may also, by written notice, require an authorised person to—

(a) call a general meeting of shareholders, set an agenda, and propose specified resolutions;

(b) search for, and communicate with, potential purchasers of the authorised person's business or part of the business;

(c) remove directors or senior management who have failed to meet their obligations, including fiduciary duties;

(d) limit or, if appropriate, clawback compensation paid to directors and senior management;

(e) obtain the Centre's written approval before making or incurring any major capital expenditure, material commitment, or contingent liability;

(f) enhance internal governance, systems, controls, and risk management; or implement one or more measures in the authorised person's recovery plan.

Conditions for resolution and general provisions

122. (1) The Centre may exercise its resolution powers or apply its resolution tools in relation to an authorised person only if it is satisfied that the following resolution conditions are met—

(a) the authorised person is failing or is likely to fail;

(b) having regard to timing and other relevant circumstances, it is not reasonably likely that any action that is taken by or in respect of the authorised person will prevent the failure or likely failure of the authorised person within a reasonable timeframe; and

(c) the taking of resolution action is in the public interest.

(2) For the purposes of subsection (1)(a), an authorised person is failing or likely to fail if one or more of the following circumstances exist—

(a) the authorised person no longer meets requirements under these regulations, rules, or other legislation administered by the Centre, such as prescribed capital or liquidity levels;

(b) the authorised person's access to market-based funding sources is seriously impaired;

(c) there is a significant deterioration in the value of the authorised person's assets;

(d) there are serious governance issues or deficiencies in its risk management and controls that may have a significant impact on the authorised person's financial condition; or

(e) the authorised person is unable to pay its debts or other liabilities as they fall due.

(3) An authorised person is not failing or likely to fail merely because one or more early intervention powers have been exercised in relation to it.

(4) Subject to subsection (1)(a) and subsection (2), the Centre may take into account the likely impact on the authorised person of the failure or likely failure of another entity in the authorised person's group.

(5) For the purposes of subsection (1)(c), an act is in the public interest if—

(a) it is necessary and proportionate to achieve one or more of the Centre's objectives; and

(b) winding up the authorised person under the Centre's insolvency regulations or other applicable insolvency laws would not meet the Centre's objectives to the same extent.

(6) An authorised person must immediately notify the Centre if its senior management reasonably considers or is aware that—

(a) it is failing or likely to fail;

(b) another entity in its group is failing or likely to fail;

(c) in the case of an authorised person operating as a branch in the international financial services centre, the resolution authority in the jurisdiction of its head office is considering, or has initiated, resolution action in relation to the authorised person;

(d) a resolution authority, in a jurisdiction where another entity in its group is present, is considering, or has initiated, resolution action in relation to that entity; or

(e) a resolution authority in the jurisdiction of the head office of the legal entity of which the authorised person is a subsidiary is considering, or has initiated, resolution action in relation to the head office.

(7) If the Centre determines that the resolution conditions are met in respect of an authorised person, it—

(a) must record its decision together with the reasons for that decision and the actions that it intends to take as a result of the decision;

(b) must give written notice of the decision to—

(i) the authorised person;

(ii) if applicable, the financial services regulator and resolution authorities of jurisdictions in which any relevant group entity or significant branches are located; and

(iii) if applicable, any scheme for the protection of depositors or clients that is relevant to the authorised person; and

(c) may publish information about the decision if it appears to the Centre to be desirable to do so in the public interest.

Appointment of independent valuer

123. (1) The Centre may arrange for an independent valuer to be appointed to carry out a valuation of the assets and liabilities of an authorised person for the purposes of this Part.

(2) The Centre may prescribe in the rules the eligibility requirements for a person to be appointed as an independent valuer.

(3) A valuation by an independent valuer must be carried out in such manner as the Centre may prescribe in the rules.

(4) The Centre—

(a) may require the authorised person to pay the cost of any valuation; or

(b) may recover the costs of the independent valuation from the authorised person.

Valuations

124. (1) Before the Centre exercises a resolution power in respect of an authorised person, it must cause a valuation to be carried out to assess the value of the assets and liabilities of the authorised person (a "pre-resolution valuation").

(2) Despite subsection (1), if the urgency of the case makes it appropriate for a resolution power to be exercised in respect of an authorised person before a pre-resolution valuation can be carried out, the Centre may cause a provisional valuation to be carried out of the assets and liabilities of the authorised person (a "provisional valuation").

(3) If the Centre causes a provisional valuation to be carried out, it shall cause a further valuation (a "definitive valuation") to be carried out on the assets and liabilities of the authorised person as soon as practicable after the provisional valuation.

(4) A pre-resolution valuation, provisional valuation, and definitive valuation must be carried out in such manner as the Centre may prescribe in the rules.

Resolution powers

125. (1) If the Centre is satisfied that the resolution conditions have been met, it may, by written notice, exercise one or more of the following resolution powers in relation to an authorised person—

(a) remove and replace any director or member of senior management, regardless of whether they are responsible for the failure;

(b) appoint one or more individuals to act as a temporary administrator in accordance with section 128;

(c) recover monies from any person whose acts or omissions materially contributed to the failure, including by the claw-back of variable remuneration such as bonuses;

(d) terminate contracts, continue or assign contracts, or purchase or sell assets;

(e) write down or convert any instrument or liability;

(f) ensure continuity of essential services and functions by—

(i) requiring other entities in the group to continue to provide essential services or facilities to the authorised person or any successor or an acquiring entity; or

(ii) procuring the essential services or facilities from unaffiliated third parties;

(g) override rights of shareholders of the authorised person, including requirements for approval by shareholders of particular transactions, in order to permit a merger, acquisition, sale of business operations, recapitalisation, or other measures to restructure and dispose of the authorised person's business, liabilities, or assets;

(h) apply the sale of the business tool;

(i) apply the bail-in tool;

(j) require the authorised person to prepare and implement a business reorganisation plan;

(k) temporarily suspend the exercise of early termination rights under any contracts or agreements that may otherwise be triggered upon entry of the authorised

person into resolution or in connection with the exercise of resolution powers or application of a resolution tool;

(l) impose a moratorium with a suspension of payments to unsecured creditors and clients (except for payments to central counterparties, payment, clearing and settlements systems, and central banks) and a stay on creditor actions to attach assets or otherwise collect money or property from the authorised person, while protecting the enforcement of eligible netting and collateral agreements;

(m) take any action necessary to effect the restructure or closure and orderly wind-down of the whole or part of the business of the authorised person while facilitating prompt access to transaction accounts and to segregated client assets;

(n) require the authorised person or any of the entities in the group to provide any services or facilities;

(o) require the authorised person to return client assets to clients promptly;

(p) suspend any payment or delivery obligations pursuant to any contract to which the authorised person is a party; or

(q) restrict secured creditors of the authorised person from enforcing security interests in relation to any assets of the authorised person.

(2) In addition to the powers specified in subsection (1), the Centre may—

(a) require any person to provide any information required for the Centre to decide upon and prepare resolution action, including to update or supplement information provided in the resolution plan;

(b) remove rights to acquire further shares, such as shareholders' pre-emption rights in the case of a new share issue under the Banking (Victoria Falls International Financial Services Centre) (Companies) Regulations, 2026;

(c) cancel or modify the terms of a contract to which the authorised person is a party or substitute a purchaser under the sale of business tool as a party;

(d) in relation to debenture and other eligible liabilities issued by the authorised person—

(i) amend or alter the maturity;

(ii) amend the amount of interest payable; or

(iii) amend the date on which the interest becomes payable, including by suspending payment for a temporary period;

(e) close out and terminate financial contracts or derivative contracts for the purposes of the application of the bail-in tool;

(f) require a person to discontinue or suspend the admission to trading of financial instruments relating to the authorised person; and

(g) apply powers to allocate losses and allocate or terminate contracts of a market institution, taking into account the particular circumstances of the market institution.

(3) The Centre may exercise its resolution powers when the resolution conditions are met under section 122—

(a) regardless of any restriction on, or requirement to obtain consent for, the transfer of the financial instruments, rights, assets, or liabilities in question that might otherwise apply;

(b) without the requirement to obtain approval or consent from any person, either public or private, including the shareholders or creditors of the authorised person; and

(c) without the requirement to notify any person, including any requirement to publish any notice or prospectus or to file or register any document with any other authority.

(4) The Centre may consult and cooperate with a central bank when planning or carrying out the resolution of a market institution if that market institution is linked to the systems operated by the central bank.

(5) The decision-making procedures in the Second Schedule apply to a decision made by the Centre under this section.

Sale of business tool

126. (1) The Centre may apply the sale of business tool to an authorised person by effecting a sale of all or part of the business of the authorised person to one or more purchasers. The sale of the business tool is effected by—

(a) making one or more property transfer instruments for the transfer of all or any rights, assets, or liabilities of the authorised person; and

(b) if an authorised person is not a branch, making one or more share transfer instruments for the transfer of all or part of the shares of the authorised person.

(2) The Centre may apply the sale of business tool to an authorised person without complying with any procedural requirements under the Banking (Victoria Falls International Financial Services) (Companies) Regulations, 2026 or the constitutional documents of the authorised person.

(3) The Centre may prescribe rules relating to the application of the sale of a business tool.

(4) The decision-making procedures in the Second Schedule apply to a decision made by the Centre under this section.

Bail-in tool

127. (1) The bail-in tool is a resolution tool that the Centre may apply in relation to an authorised person that is not a branch—

(a) to recapitalise the authorised person;

(b) to the extent sufficient to restore the authorised person's ability to comply with the authorisation requirements as applicable;

(c) to continue to carry out the activities for which the authorised person is authorised under these regulations; or

(d) to sustain sufficient market confidence in the authorised person;

(e) to convert to shares or reduce the principal amount of claims or debentures that are transferred under the sale of the business tool.

(2) In applying the bail-in tool, the Centre may use the write-down or conversion power in such manner as may be prescribed in the rules.

(3) The Centre may prescribe rules relating to the application of the bail-in tool.

(4) The decision-making procedures in the Second Schedule apply to a decision made by the Centre under this section.

Temporary administrator

128. (1) The Centre may appoint a temporary administrator to replace the management of an authorised person.

(2) The temporary administrator has such powers of the shareholders and management of the authorised person, as are specified by the Centre in the instrument of appointment.

(3) The temporary administrator has a duty to take all measures necessary to promote the Centre's objectives in relation to resolution. The duty may, if necessary, override any other duty placed upon the management of the authorised person under the law applicable to the international financial services centre and the authorised person's constitutional documents.

(4) The person appointed to be the temporary administrator may be an individual, or one or more individuals acting jointly, or a body corporate.

(5) Before appointing a person to be a temporary administrator, the Centre must be satisfied that the person has sufficient qualifications, experience, and the fitness and propriety necessary to carry out the functions of a temporary administrator.

(6) A temporary administrator must not be treated as a director of the authorised person.

(7) The instrument of appointment must specify the date on which the appointment takes effect and the period of the appointment. The period of appointment must be for an initial period of not more than twelve months, but the Centre may extend that appointment for a further period not more than twelve months.

(8) The instrument of appointment may require the temporary administrator to report to the Centre on any matter specified in the instrument and at the time or at intervals specified in the instrument.

(9) The instrument of appointment may provide for the Centre to pay the remuneration and costs of the temporary administrator or for the remuneration and costs of the temporary administrator to be paid by the authorised person, its parent, or another entity in its group.

(10) The Centre may vary the terms of appointment of a temporary administrator.

Resolution safeguards

129. The Centre must, when exercising a resolution power or applying a resolution tool in relation to an authorised person, aim to meet the following safeguards—

(a) no shareholder, creditor, or client, including a depositor and policyholder, should be worse off under the resolution action than if the authorised person had been wound up under ordinary insolvency proceedings; and

(b) any other resolution safeguards that may be prescribed in the rules.

Costs of resolution

130. (1) The Centre—

(a) may require the authorised person to pay the costs of exercising a resolution power or applying a resolution tool; or

(b) may recover those costs from the authorised person.

(2) Without limiting subsection (1), the Centre may recover the costs—

(a) as a deduction from any consideration paid by a transferee to the authorised person, in the case of a transfer of property;

(b) as a deduction from the owners of the shares, in the case of a transfer of shares; or

(c) from the authorised person, as a preferred creditor.

PART XII

General

Recognition of resolution actions in other jurisdictions

131. (1) If a Resolution Authority in another jurisdiction notifies the Centre that it intends to take or has taken resolution action in relation to an entity in that jurisdiction and requests the Centre to recognise that resolution action, the Centre may—

(a) make an order recognising the resolution action;

(b) make an order recognising part of the resolution action, and refuse to recognise the remainder of it; or

(c) refuse to recognise the resolution action.

(2) When considering whether to recognise resolution action taken in a jurisdiction outside the international financial services centre, the Centre must consider the impact of its decision on financial stability in the international financial services centre and in any other jurisdiction.

(3) The Centre may refuse to recognise resolution action in another jurisdiction, or any part of a resolution action, if it is satisfied that one or more of the following conditions are met—

(a) the recognition would have an adverse effect on financial stability, the financial services industry in the international financial services centre, or the economy of the Republic of Zimbabwe;

(b) the exercise of a resolution power or application of a resolution tool by the Centre, rather than recognition of the resolution action in relation to the entity, is necessary to achieve one or more of the Centre's objectives in relation to resolution;

(c) under the resolution action, creditors, clients, including depositors and policyholders, or shareholders located or payable in the international financial services centre would not, by reason of being located and payable in the international financial services centre, receive the same treatment, and have similar legal rights, as creditors, clients, including depositors and policyholders

or shareholders who are located or payable in the other jurisdiction concerned; or

(d) the recognition would have a significant detrimental impact on the international financial services centre or be unlawful under the law applicable to the international financial services centre.

(4) If the Centre makes a decision under subsection (1), the Centre—

(a) must record its decision together with the reasons for that decision;

(b) must give written notice of the decision to—

(i) the Resolution Authority in the other jurisdiction;

(ii) if it considers it necessary, the entity; and

(iii) if it considers it necessary, any Resolution Authority in any other relevant jurisdiction; and

(c) may publish information about the decision if it considers it is desirable to do so in the public interest.

(5) For the purposes of supporting, or giving full effect to, an order under subsection (1)(a) or (b) (a

"resolution recognition order"), the Centre may—

(a) include in the order any provision that the Centre considers necessary to give effect to the order; or

(b) exercise or apply in conjunction with the order one or more resolution powers or resolution tools as it considers appropriate in the circumstances.

(6) A resolution recognition order must not prejudice the winding up of an authorised person under ordinary insolvency proceedings, unless the winding up conflicts with the resolution action, in which case the recognised resolution action takes precedence.

Application of insolvency regulations

132. (1) To the extent that this Part is inconsistent with the insolvency law, the provisions of this Part prevail.

(2) If the Centre determines that the resolution conditions have been met in relation to an authorised person, a person may not commence insolvency proceedings under the insolvency regulations in respect of the authorised person except with the Centre's consent.

(3) The Centre may apply to the Arbitration Tribunal under section 101 for the winding up of an authorised person or commence insolvency proceedings under the insolvency law in respect of the authorised person, even if the Centre has determined that the resolution conditions have been met or the Centre has taken resolution action under this part in respect of the authorised person.

(4) The Centre may take resolution action under this Part in relation to an authorised person even if insolvency proceedings have already commenced in relation to the authorised person

Protection from liability

133. (1) An authorised person, an entity in its group, or a director or employee of the authorised person or an entity in its group is not liable for damages in respect of anything done or omitted to be done in good faith in accordance with a requirement made by the Centre under this Part.

(2) A temporary administrator or an independent valuer appointed under this Part is not liable for damages in respect of anything done or omitted to be done in good faith for the purposes of, or in connection with, the performance of functions under that appointment.

Default event provision

134. (1) In this section—

"specified" in relation to a contract or agreement, means specified in the contract or other agreement;

"default event provision" means a provision of a contract or other agreement—

(a) that has the effect that if a specified event or situation arises—

(i) the agreement is terminated, modified, replaced, or suspended;

(ii) rights or duties under the agreement are terminated, modified, replaced, or suspended;

(iii) a right accrues to terminate, modify, or replace the agreement;

(iv) a right accrues to terminate, modify, or replace rights or duties under the agreement;

(v) a set-off or netting right accrues under the agreement;

(vi) a sum becomes payable or ceases to be payable;

(vii) a right accrues to obtain possession, exercise control, or enforce any security over any property;

(viii) delivery of anything becomes due or ceases to be due;

(ix) a right to claim a payment or delivery accrues, changes, or lapses;

(x) any other right accrues, changes, or lapses; or

(xi) an interest is created, changes, or lapses; or

(b) that has the effect that a provision of the contract or agreement—

(i) takes effect only if a specified event occurs or does not occur;

(ii) takes effect only if a specified situation arises or does not arise;

has effect only for so long as a specified event does not occur;

(iv) has effect only while a specified situation lasts;

(v) applies differently if a specified event occurs;

(vi) applies differently if a specified situation occurs; or

(vii) applies differently while a specified situation lasts.

(2) Subsection (3) applies if a contract or other agreement—

(a) is entered into by an authorised person or a regulated financial institution; or

(b) includes cross-default provisions and is entered into by another group entity in the authorised person's group or regulated financial institution's group, and the

substantive obligations provided for in the contract or agreement continue to be performed.

(3) The following must be disregarded in determining whether a default event provision applies:

(a) the exercise of a measure in an authorised person's recovery plan;

(b) the removal of impediments to the resolvability of an authorised person;

(c) the imposition of an early intervention power;

(d) the appointment of a temporary administrator;

(e) the exercise of a resolution power;

(f) the application of a resolution tool;

(g) the recognition of a resolution action taken by a resolution authority; and

(h) the occurrence of any event directly linked to the exercise or application of such measure, power, tool, or action.

Public registers

135. (1) The Centre must publish and maintain, in such manner as it considers appropriate, a register of current and past grants, withdrawals, and suspensions of licences of all authorised persons and ancillary service providers, and particulars of the status of recognised non-international financial services centre market institutions, recognised non-international financial services centre participants, foreign fund managers, approved individuals, designated individuals, and principal representatives.

(2) The Centre may publish and maintain, in such manner as it considers appropriate, registers of—

(a) all persons in relation to whom action has been taken under section 33(1); and

(b) all persons who have been prohibited under section 96(1)(g) from holding office or being a director or employee of any authorised person or ancillary service provider, indicating whether or not any such action or prohibition is in effect.

(3) The Centre may decide not to publish information about a suspension imposed under section 33(1)(c).

(4) The Centre must make a reasonably current version of each register kept under subsections (1) and (3) freely available for viewing by the public during the normal business hours of the Centre.

Extended powers

136. (1) Any power which the Centre may exercise in relation to an authorised person, ancillary service provider, approved individual, designated individual or any director, officer, employee or representative of an authorised person, ancillary service provider, or registered auditor under these regulations or any other rules or other legislation administered by the Centre may, subject to subsections (2) and (3), continue to be exercised after the date on which—

(a) the licence of such authorised person or ancillary service provider; or

(b) the approved individual or designated individual status of such individual;

is withdrawn by the Centre under these regulations or any other rules or other legislation administered by the Centre.

(2) Except as provided in subsection (3), the Centre may only exercise a power under subsection (1) in relation to a person within three years after the day on which the Centre became aware of the act or omission that gave rise to the right to exercise the power in respect of that person.

(3) If proceedings with respect to an act or omission are commenced by the Centre within the period referred to in subsection (2), then the provisions of subsection (1) remain in force until such time as the proceedings and any review or appeal relating to the proceedings are completed.

(4) For the purposes of this section, the Centre is aware of an act or omission if it has information from which the act or omission can reasonably be inferred.

(5) The decision-making procedures in the Second Schedule apply to a decision made by the Centre under this section.

Publication of information and decisions by Centre

137. (1) The Centre may publish in such form and manner as it considers appropriate information and statements relating to decisions of the Centre, sanctions, and any other matters which the Centre considers relevant to the conduct of affairs in the international financial services centre.

(2) Subject to any directions given by the Arbitration Tribunal, the Centre may publish statements regarding any matters considered by the Arbitration Tribunal involving the Centre.

FIRST SCHEDULE (*Section 17(1)*)

REGULATED ACTIVITIES

Dealing in investments as principal

1. Dealing in Investments as principal means buying, selling, subscribing for or underwriting any investment as principal.

Dealing in investments as agent

2. Dealing in investments as agent means buying, selling, subscribing for or underwriting any investment as agent.

Managing investments

3. Managing investments means managing on a discretionary basis assets belonging to another person where the assets include any investment.

Managing collective investment scheme

4. (1) Managing a collective investment scheme means establishing, managing or otherwise operating or winding up a collective investment scheme.

(2) To the extent that any activity under (1) constitutes managing assets, providing fund administration, dealing as agent, dealing as principal, arranging deals in investments, providing custody, or, in relation to a credit fund, additionally constitutes providing credit, advising on a credit facility or arranging a credit facility, such a regulated activity is taken to be incorporated within managing a collective investment scheme.

Providing custody

5. Providing custody means one or more of the following activities—

(a) safeguarding and administering investments belonging to another person;

(b) in the case of a Fund, safeguarding and administering fund property; or

(c) safeguarding and administering digital assets belonging to another person.

Arranging custody

6. Arranging custody means arranging for one or more people to carry on the regulated activity of providing custody.

Providing trust services

7. Providing trust services means—

(a) providing services with respect to the creation of an express trust;

(b) arranging for any person to act as a trustee in respect of any express trust;

(c) acting as trustee in respect of an express trust; or

(d) acting as protector or enforcer in respect of an express trust.

Providing fund administration

8. Providing fund administration means providing one or more of the following services in relation to a fund—

(a) processing dealing instructions, including subscriptions, redemptions, stock transfers and arranging settlements;

(b) valuing of assets and performing net asset value calculations;

(c) maintaining the share register and unitholder registration details;

(d) performing anti-money laundering requirements;

(e) undertaking transaction monitoring and reconciliation functions;

(f) performing administrative activities in relation to banking, cash management, treasury and foreign exchange;

(g) producing financial statements, other than as the fund's registered auditor; or

(h) communicating with participants, the fund, the fund manager, and investment managers, the prime brokers, the regulators and any other parties in relation to the administration of the fund.

Acting trustee of fund

9. (1) Acting as the trustee of a fund means holding the assets of a fund on trust for the unitholders where the fund is in the form of an investment trust.

(2) To the extent that any activity under (1) constitutes providing fund administration or providing custody, such a financial service is taken to be incorporated within acting as the trustee of a fund.

Advising on investments

10. (1) Advising on investments means giving advice to a person in his capacity as an investor or potential investor, or in his capacity as agent for an

investor or a potential investor, on the merits of his buying, selling, holding, subscribing for or underwriting a particular investment (whether as principal or agent).

(2) In sub-paragraph (1), "advice" includes a statement, opinion or report—

(a) where the intention is to influence a person, in deciding to select a particular investment or an interest in a particular investment; or

(b) which could reasonably be regarded as being intended to have such an influence.

Arranging deals in investments

11. Arranging deals in investments means making arrangements with a view to another person buying, selling, subscribing for or underwriting an investment (whether that other person is acting as principal or agent).

Managing a restricted profit-sharing investment account

12. Managing a restricted profit-sharing investment account means managing an account or portfolio which is a restricted profit-sharing investment account (RPSIA).

Islamic banking business

13. Islamic banking business means providing financing or making investments by entering as principal or agent into any Islamic financial contract while raising funds for those activities through either or both of the following—

(a) raising, accepting and managing funds or money placements;

(b) managing unrestricted profit-sharing investment accounts (UPSIA):

Provided that all such activities are carried out in a Sharia-compliant manner.

Providing Islamic financing

14. Providing Islamic financing means providing financing in a Sharia-compliant manner by entering into any Islamic financial contract.

Insurance intermediation

15. (1) Insurance intermediation means—

(a) advising on a contract of insurance;

(b) acting as agent for another person in relation to the buying or selling of a contract of insurance for that other person; or

(c) making arrangements with a view to another person, whether as principal or agent, buying a contract of insurance.

(2) In subparagraph (1)(a), "advising" means advising a person in his or her capacity as a policyholder, or in his capacity as agent for a policyholder, on

the merits of his entering into a contract of insurance, whether as principal or agent.

(3) In subparagraph (2), "advice" includes a statement, opinion or report—

(a) where the intention is to influence a person, in making a decision, to select a contract of insurance or insurance cover; or

(b) which could reasonably be regarded as being intended to have such influence.

(4) The arrangements in subparagraph (1)(c) include arrangements which do not bring about the transaction.

(5) The arrangements in subparagraph (1)(c) do not include the mere provision of information about—

(a) a contract of insurance, insurer, insurance intermediary or insurance manager to a policyholder; or

(b) a policyholder to an insurer, insurance intermediary or insurance manager;

if the person providing that information does not take any further steps to assist in concluding the contract of insurance.

Operating representative office

16. (1) Operating a representative office means the marketing, from an establishment in the international financial services centre, of one or more financial services or investments which are offered in a jurisdiction other than the international financial services centre.

(2) For the purposes of this paragraph, "marketing" means:

(a) providing information on one or more investments or financial services;

(b) engaging in promotions in relation to such information provision; or

(c) making introductions or referrals in connection with the offer of financial services or investments:

Provided that such activities do not constitute—

(i) advising on investments; or

(ii) receiving and transmitting orders in relation to an investment.

(3) An authorised person which is authorised to operate a representative office may not have a licence to carry on any other Regulated Activity.

(4) An authorised person which does not have a licence to operate a representative office does not operate a representative office if it undertakes any activities of the kind described in sub-paragraph (2) that constitute marketing.

(5) Any communication which amounts to marketing in respect of a financial service or investment, which is issued by or on behalf of a government or non-commercial governmental entity, does not constitute marketing for the purposes of sub-paragraph (2).

Accepting deposits

17. (1) Accepting deposits means accepting money or funds received as a deposit if that money or funds are—

(a) lent to other persons; or

(b) used to finance wholly, or partly, any other activity of the person accepting the deposit.

(3) To the extent that any activity constitutes opening and operating bank accounts, such a Regulated Activity is taken to be incorporated within accepting deposits.

Providing credit

18. (1) Providing credit means providing a credit facility to another person.

(2) A person does not carry on the Regulated Activity of providing credit if the credit facility is to be provided by the authorised person in the course of carrying on one or more of the following activities—

(a) dealing in investments as agent;

(b) arranging deals in investments;

(c) managing investments;

(d) managing a collective investment scheme;

(e) providing custody.

Advising on credit facility

19. (1) Advising on a credit facility means giving advice to a person in his capacity as a borrower or a potential borrower, or as an agent for a borrower or a potential borrower, on the merits of his entering into a particular credit facility.

(2) In sub-paragraph (1), "advice" includes a statement, opinion or report—

(a) where the intention is to influence a person, in making a decision, to enter into a particular credit facility; or

(b) which could reasonably be regarded as being intended to have such an influence.

Arranging credit facility

20. (1) Arranging a credit facility means making arrangements for the provision of a credit facility by one or more persons.

(2) A person does not carry on the Regulated Activity of arranging a credit facility if—

(a) he or she is to be a party to the provision of credit facilities in question; or

(b) he or she merely provides the means by which a person providing a credit facility communicates with the person to whom the credit facility is or is to be provided.

(3) A person does not carry on the Regulated Activity of arranging a credit facility if it—

(a) is carried on in the course of providing legal services or providing accountancy services, which do not otherwise consist of the carrying on of financial services;

(b) may reasonably be regarded as a necessary part of any other services provided in the course of providing legal services or providing accountancy services; and

(c) is not remunerated separately from the other services.

Providing money services

21. (1) Providing money services includes, without limitation—

(a) providing currency exchange;

(b) selling or issuing payment instruments;

(c) selling or issuing stored value;

(d) execution of payment transactions, including transfers of funds on a settlement account, including a bank account, with the user's payment service provider or with another payment service provider—

(i) execution of direct debits, including one-off direct debits;

(ii) execution of payment transactions through a payment card or a similar device; and

(e) execution of payment transactions where the funds are covered by a credit line for a payment service user—

(i) execution of direct debits, including one-off direct debits;

(ii) execution of payment transactions through a payment card or a similar device; and

(f) money remittance; and

(g) execution of payment transactions where the consent of the payer to execute a payment transaction is given by means of any telecommunication, digital or information technology (IT) device and the payment is made to the telecommunication, IT system or network

operator, acting only as an intermediary between the payment service user and the supplier of the goods and services.

(2) An authorised person does not provide money services if it does so in relation to the carrying on of another Regulated Activity where providing money services is in connection with and a necessary part of that other Regulated Activity.

Effecting contracts of insurance

22. Effecting contracts of insurance means effecting contracts of insurance as principal.

Carrying on contracts of insurance

23. Carrying on contracts of insurance means carrying on contracts of insurance as principal.

Insurance management

24. (1) Insurance management means—

(a) performing underwriting or administration functions for or on behalf of an insurer or captive, for the purposes of that insurer effecting or carrying out a contract of insurance as principal; or

(b) arranging reinsurance for and on behalf of an insurer or captive for whom it is underwriting.

(2) In subparagraph (1)—

"administration" includes, without limitation, one or more of the following activities—

(a) processing applications for, and endorsements on, contracts of insurance;

(b) collecting and processing premiums;

(c) negotiating terms of settlement of claims; or

(d) settling claims; and

"underwriting" includes, without limitation, one or more of the following activities assessing underwriting risks.

(3) In this Schedule, a reference to an "insurer" is a reference to:

(a) an insurer; or

(b) a non-international financial services centre insurer.

Opening and operating bank accounts

25. Opening and operating bank accounts means one or more of the following activities—

(a) opening and operating bank accounts;

(b) services enabling funds to be placed on a bank account, as well as all the operations required for operating a bank account; and

(c) services enabling funds withdrawals from a bank account, as well as all the operations required for operating a bank account.

Operation of payment system

26. Operation of a payment system means operation of a funds transfer system with formal and standardised arrangements and common rules for the processing, clearing or settlement of payment transactions.

Operating multilateral trading facility

27. Operating a multilateral trading facility (MTF) where MTF means a system which brings together multiple third parties buying and selling investments, rights or interests in Investments, in accordance with its non-discretionary rules, in a way that results in a contract in respect of such Investments.

Operating Organised trading facility

28. Operating an organised trading facility (OTF) where OTF means a system which brings together multiple third parties buying and selling Investments, rights or interests in Investments, in accordance with its discretionary rules, in a way that results in a contract in respect of such Investments.

Operating Digital Asset trading facility

29. Operating a Digital Asset trading facility means operating a facility which functions regularly and brings together multiple parties (whether as principal or agent) with a view to the entering into of contracts—

(a) to buy, sell or exchange Digital Assets for a Fiat currency, or to buy or sell interests in Digital Asset derivatives; or

(b) to exchange one Digital Asset for another Digital Asset, in its facility, in accordance with its non-discretionary rules; or

(c) to buy, sell or exchange Digital Assets for a commodity.

Providing credit rating services

30. Providing credit rating services means—

(a) analysis or evaluation of information carried on with a view to issuing or reviewing a Credit Rating; or

(b) issuing or reviewing a credit rating.

SECOND SCHEDULE (*Sections 9(1), 33(7), 75(2), 76(8), 77(3), 86(3), 95(3), 118(3), 119(4), 125(5), 126(4), 127(4)*)

DECISION-MAKING PROCEDURES OF CENTRE

Interpretation

1. In this Schedule—

"relevant person" means a person in relation to whom the Centre exercises or proposes to exercise a power.

Application of Schedule

2. This Schedule applies to the international financial services centre, subject to paragraph 3, if a provision of these regulations or rules made thereunder requires or enables the Centre to make a decision.

Decisions on which procedures do not apply

3. (1) The procedures in this Schedule (other than sub-paragraph (2)) do not apply to a decision by the Centre—

(a) to revoke a direction or withdraw a requirement, restriction or prohibition; or

(b) to withdraw a condition or restriction imposed in relation to a licence, registration, authorisation or approval; or

(c) in relation to a person, if the person has requested, or consented in writing to, the making of the decision; or

(d) to give, revoke or vary a direction.

(2) In the cases referred to in subparagraph (1), the Centre shall notify the person in writing of the decision and the date on which it is to take effect.

(3) If the Centre makes a decision in relation to a person after a determination of the Arbitration Tribunal relating to the conduct of the person, the requirement to give the person an opportunity to make representations under paragraph 4 or 6 (as applicable) does not apply in relation to findings of fact of the Arbitration Tribunal.

Opportunity to make representations before decision

4. (1) If the Centre proposes to make a decision to which this Schedule applies, it must first give the relevant person—

(a) a written notice (a "preliminary notice"); and

(b) an opportunity to make representations to the Centre in person or in writing concerning the decision the Centre proposes to take.

(2) The preliminary notice must—

(a) specify the proposed decision;

(b) specify the reasons for that proposed decision, including any proposed findings of fact, and include a copy of the relevant materials which were considered in making the proposed decision;

(c) inform the person that they may make representations to the Centre concerning the proposed decision; and

(d) specify how and by when any representations may be made.

(3) For the purposes of sub-paragraph (2)(c), the Centre—

(a) may refer to materials (instead of providing a copy) if they are already held by the relevant person or are publicly available; and

(b) is not required to provide material that is the subject of legal professional privilege.

(4) If the Centre does not receive any representations within the period specified in the preliminary notice, it may proceed to make the proposed decision and give the person a decision notice in accordance with paragraph 5.

(5) If the Centre receives representations within the period specified in the preliminary notice, it must consider the representations in making the decision.

(6) If, after considering the representations, the Centre decides—

(a) to make the proposed decision (either as proposed or with variations), then it must give the person a decision notice under paragraph 5; or

(b) not to make the proposed decision, then it must, as soon as practicable, notify the person in writing that it has decided not to make the decision.

(7) If the Centre concludes that any delay likely to arise as a result of complying with the procedures in this paragraph would be prejudicial to the interests of direct or indirect users of financial services or otherwise prejudicial to the interests of the Centre—

(a) the requirements in sub-paragraphs (1) to (6) do not apply; and

(b) the Centre must provide the person with an opportunity to make representations in accordance with the procedures in paragraph 6 after it has made the decision.

Decision notice

5. (1) If the Centre decides to make a decision to which this Schedule applies, it must, as soon as practicable, give the relevant person a written notice (a "decision notice") specifying—

(a) the decision;

(b) the reasons for the decision, including its findings of fact;

(c) the date on which the decision is to take effect;

(d) if applicable, the date by which any relevant action must be taken by the person; and

(e) the person's right to seek review of the decision by the Arbitration Tribunal.

(2) The decision notice must include a copy of the relevant materials which were considered in making the decision.

(3) For the purposes of subparagraph (2), the Centre—

(a) may refer to materials (instead of providing a copy) if they are already held by the relevant person or are publicly available; and

(b) is not required to provide material that is the subject of legal professional privilege.

Opportunity to make representations after decision

6. (1) If this paragraph applies under paragraph 4(7), the Centre must—

(a) provide the relevant person with an opportunity to make representations to the Centre in person or in writing within a period of fourteen days, or such further period as may be agreed, from the date on which the decision notice is given to the person under paragraph 5; and

(b) inform the relevant person in the decision notice that they may make representations concerning the decision and specify how and by when any representations may be made.

(2) If the centre does not receive any representations within the period specified in the decision notice, it must inform the person in writing that the decision is to stand (subject to any right of the person to refer the matter to the Arbitration Tribunal for review).

(3) If the Centre receives representations within the period specified in the decision notice, it must consider the representations in deciding whether to confirm, withdraw or vary the decision.

(4) If, after considering representations received, the Centre decides—

(a) to confirm the decision, it must as soon as practicable notify the Person in writing that the decision is to stand (subject to any right of the person to refer the matter to the Arbitration Tribunal for review); or

(b) to withdraw the decision, it must, as soon as practicable, notify the person in writing that the decision has been withdrawn; or

(c) to vary the decision, it must, as soon as practicable, give the person an amended decision notice under paragraph 5.

(5) For the avoidance of doubt, the opportunity to make representations under this paragraph does not arise—

(a) if the person was given a preliminary notice and the opportunity to make representations under paragraph 4 before the decision was made; or

(b) in respect of an amended decision notice given under subparagraph (4)(c).

Third party rights

7. (1) If any of the reasons contained in a decision notice relate to a matter which—

(a) identifies a person (a "third party") other than the person to whom the decision notice is given; and

(b) in the opinion of the Centre, is prejudicial to the third party;

the Centre must give a notice or a copy of the decision notice, or extracts of its relevant parts, to the third party.

(2) The notice copied to the third party must specify a reasonable period within which the party may make representations to the Centre.

(3) A copy of the notice is not required to be given to a third party if the Centre considers it impractical to do so.

(4) The third party may refer to the Arbitration Tribunal—

(a) the decision in question or any aspect of the decision, so far as it relates to the party; or

(b) any opinion expressed by the VFIFSA in relation to the party.

(5) The copy of the decision notice must advise the third party's right to make a reference to the Arbitration Tribunal.

(6) If the third party refers the matter to the Arbitration Tribunal, the third party may apply to the Arbitration Tribunal to stay the action specified in the decision notice.

(7) The third party must be given a copy of any discontinuance applicable to the proceedings to which the decision notice relates.

THIRD SCHEDULE (*section 10(3)*)

APPEAL TO ARBITRATION TRIBUNAL

Time frame for instituting appeal

1. (1) An appeal under section 10 may be instituted—

(a) within a period of twenty-eight days after the date of the decision, including by way of a decision notice, given to the person by the Centre; and

(b) by serving a claim form on the Centre, in accordance with the service provisions of the Arbitration Tribunal rules, stating the grounds and material facts on which the appellant relies.

(2) An appeal does not operate as a stay of the decision being appealed.

Power of **A***rbitration Tribunal to dismiss appeal for want of prosecution*

2. (1) The Centre may, where an appeal under section 10 has been instituted, apply to the Arbitration Tribunal for an order that the appeal be dismissed for want of prosecution, and on hearing the application, the Arbitration Tribunal may—

(a) dismiss the appeal or dismiss the application (in either case on such terms and conditions as the Arbitration Tribunal may direct), or

(b) make such other order as the Arbitration Tribunal considers just.

(2) The provisions of this paragraph are without prejudice to the Banking (Victoria Falls International Financial Services Centre) (Arbitration) Regulations, 2026, the Arbitration Tribunal rules and the inherent powers of the Arbitration Tribunal.

Power of Arbitration Tribunal to set aside or confirm decisions

3. On an appeal under section 10, the Arbitration Tribunal may set the decision of the Centre aside and, if the Arbitration Tribunal considers it appropriate to do so, remit the matter to the Centre with such directions as the Arbitration Tribunal thinks fit—

(a) confirm the decision, in whole or in part;

(b) suspend or modify the operation of the decision on such terms as the Arbitration Tribunal thinks just, pending the determination of the appeal.

Appeal of decision to publish statement to be held in private

4. (1) An appeal against a decision to publish a statement in respect of a person will be held in private unless—

(a) the parties agree that all or part of the hearing should be held in public, or

(b) if the Arbitration Tribunal so orders.

(2) Where an appeal against a decision to publish a statement is upheld, the Centre will, if the appellant so requests, publish a statement of that fact.